

ORIENT FINANCE PLC
COLOMBO 03

FINANCIAL STATEMENTS FOR THE
YEAR ENDED 31ST MARCH 2023



Tel : +94-11-2421878-79-70
+94-11-2387002-03
Fax : +94-11-2336064
E-mail : bdopartners@bdo.lk
Website : www.bdo.lk

Chartered Accountants
"Charter House"
65/2, Sir Chittampalam A Gardiner Mawatha
Colombo 02
Sri Lanka

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF ORIENT FINANCE PLC

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Orient Finance PLC ("the company"), which comprise the statement of financial position as at 31st March 2023, and the income statement, statement of other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies as set out on pages 06 to 63.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the company as at 31st March 2023, and of its financial performance and its cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the company in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of the most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter 1: Impairment of loans and receivables

The company's gross loans and receivables amount to Rs. 13.98 billion as at 31st March 2023 (2022: Rs. 15.06 billion) and impairment allowance for the year amounts to Rs. 1,040 million at 31st March 2023 (2022: Rs. 936 million).

The company measures the impairment of loans and receivables using expected credit loss ("ECL") model as per SLFRS 9: Financial Instruments ("SLFRS 9"). The application of this standard requires management to exercise significant judgments in the determination of expected credit losses, including those relating to loans and receivables. Management applies significant judgment in the determination of estimated future cash flows, probabilities of default and forward-looking economic expectations.

Due to the significance of loans and receivables and the significant estimates and judgment involved, the impairment of these loans and receivables was considered to be a key audit matter.

The impairment provision is considered separately on an individual and collective impairment basis.

BDO Partners, a Sri Lankan Partnership, is a member of BDO International Limited, a UK company limited by guarantee, and forms part of the international BDO network of independent member firms.

Partners : Sujeewa Rajapakse FCA, ACCA, FCMA, MBA. Ashane J.W. Jayasekara FCA, FCMA (UK), MBA. H. Sasanka Rathnaweera FCA, ACMA. R. Vasanthakumar Bsc (Acc), ACA. F. Sarah Z. Afker ACA, ACMA (UK), CGMA, MCSI (UK). Dinusha C. Rajapakse ACA. Nirosha Vadivel Bsc (Acc), ACA, ACMA.

In calculating the impairment provision on a collective basis, statistical models are used. The following inputs to these models require significant management judgment:

- the probability of default (PD)
- the exposure at default (EAD)
- the loss given default (LGD)
- the effective interest rates

In assessing loans and receivables on an individual basis, significant judgments, estimates and assumptions have been made by management to:

- Determine if the loan or advance is credit impaired
- Evaluate the adequacy and recoverability of collateral
- Determine the expected cash flows to be collected
- Estimate the timing of the future cash flows

Key areas of significant judgments, estimates and assumptions used by management related to the impact of prevailing macroeconomic conditions in the assessment of the impairment allowance included the following:

- the probable impacts of prevailing macroeconomic conditions and related industry responses (e.g. government stimulus packages and debt moratorium relief measures granted by the company)
- the determination on whether or not customer contracts have been substantially modified due to such stimulus and relief measures granted and related effects on the amount of interest income recognised on affected loans and advances
- forward-looking macroeconomic factors, including developing and incorporating macroeconomic scenarios, given the wide range of potential economic outcomes and probable impact from prevailing macroeconomic conditions that may affect future expected credit losses

The disclosures associated with impairment of loans and receivables are set out in the financial statements in the following notes:

- Note 9 - Impairment charges for loans and receivables to customers
- Note 18 - Loans and receivables to customers

How our audit addressed the key audit matter

Our procedures included the following:

- We obtained an understanding of the management's process and tested controls over credit origination, credit monitoring and credit remediation.
- We evaluated the design, implementation and operating effectiveness of controls over estimation of impairment, which included assessing the level of oversight, review and approval of provision for credit impairment policies and procedures by the Board and management.

- We assessed the appropriateness of the accounting policies and loan impairment methodologies applied, by comparing these to the requirements of SLFRS 9: Financial Instruments, particularly in light of the deteriorating and extremely volatile economic scenarios caused by prevailing macroeconomic conditions and government responses based on the best available information up to the date of our report.
- We test-checked the underlying calculations and data.

In addition to the above, we performed the following specific procedures:

For loans and receivables collectively assessed for impairment:

- We assessed the completeness of the underlying information in loans and receivables used in the impairment calculations by agreeing details to the company's source documents and information in IT systems.
- We assessed whether judgments, estimates and assumptions used by the management in the underlying methodology and the management overlays were reasonable. Our testing included evaluating the reasonableness of forward-looking information used, economic scenarios considered, and probability weighting assigned to each of those scenarios. Further, we assessed the reasonableness of the company's considerations of the economic uncertainty relating to prevailing macroeconomic conditions.

For loans and receivables individually assessed for impairment:

- we assessed the main criteria used by the management for determining whether an impairment event had occurred.
- Where impairment indicators existed, we assessed the reasonableness of management's estimated future recoveries including the expected future cash flows, discount rates and the valuation of collateral held.
- we evaluated the reasonableness of the provisions made with particular focus on the prevailing macroeconomic conditions on elevated risk industries, strategic responsive actions taken, collateral values, and the value and timing of future cashflows.

For loans and advances affected by government stimulus and debt moratorium relief measures granted:

- we assessed the appropriateness of judgments, reasonableness of calculations and data used to determine whether customer contracts have been substantially modified or not and to determine the resulting accounting implications; and
- evaluated the reasonableness of the interest income recognised on such affected loans and advances.

We also assessed the adequacy of the related financial statement disclosures.

Key audit matter 2: Impairment of Goodwill and Brand Value

The company carries out an impairment review of goodwill and brand value at least annually or whenever there is an impairment indicator in accordance with Sri Lanka Accounting Standards.



This was considered a matter of significance to our audit due to the materiality of the carrying value of the goodwill and brand value balances which amount to Rs. 565 million and Rs. 236 million respectively as at 31st March 2023 and because the directors' assessment of impairment involves significant judgment.

Goodwill and brand value were recognized in the financial statements, upon the company (former Bartleet Finance PLC) acquiring and amalgamating former Orient Finance PLC during the financial year ended 31st March 2016.

As per LKAS 36: Impairment of Assets, the company is required to annually test for impairment of goodwill and brand. Impairment is assessed by comparing the carrying value of assets against the recoverable amount. The company determines the recoverable amount of goodwill and brand value based on the value in use method, by using the discounted cash flow model. In carrying out its assessment, for the purposes of cash flow forecasts, the company projects future cash flows based on approved budgets. These cash flows are discounted using applicable discount rates.

Based on the impairment test performed for goodwill and brand value as explained above, the company concluded that both goodwill and brand value have not been impaired as at 31st March 2023.

The disclosure associated with impairment assessment of goodwill and brand value is set out in note 23 to the financial statements.

How our audit addressed the key audit matter

We have tested management's assessment of the impairment of goodwill and brand value as at 31st March 2023.

Our work included the following procedures:

- We evaluated management's competence and level of skills required in developing assumptions, gathering accurate data and performing assessments.
- We assessed the validity of management's use of appropriate methods in assessing the impairment for goodwill and brand value.
- We challenged the key inputs and assumptions the company has used in assessing the impairment, considering the prevailing macroeconomic conditions and its impact on macro-economic factors.
- We carried out calculations on the impairment assessment to determine the degree by which the key assumptions would need to change in order to trigger an impairment.
- We tested the appropriateness of the related disclosures provided in the company's financial statements.

Other information

Management is responsible for the other information. The other information comprises the information included in the Annual Report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available to us and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise whether it appears to be materially misstated.

When we read the Annual Report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines, is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.



- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the company's ability to continue as a going concern. If we conclude that material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures, are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with Those Charged with Governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide Those Charged with Governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of the most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by Section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as it appears from our examination, proper accounting records have been kept by the company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 4324.

BDO Partners

CHARTERED ACCOUNTANTS

Colombo

27th June 2023

HSR/dm

ORIENT FINANCE PLC
INCOME STATEMENT

Page 1

For the year ended 31st March

	Note	2023 Rs.	2022 Rs.
Income	4	3,820,227,393	2,972,208,857
Interest income	5	3,593,058,853	2,709,169,183
Interest expenses	6	(2,600,022,595)	(1,159,466,921)
Net interest income		<u>993,036,258</u>	<u>1,549,702,262</u>
Fee and commission income	7	105,891,972	102,104,674
Other operating income	8	121,276,568	160,935,000
Total operating income		<u>1,220,204,798</u>	<u>1,812,741,936</u>
Impairment charges for loans and receivables to customers	9	(103,023,791)	(124,539,825)
Net operating income		<u>1,117,181,007</u>	<u>1,688,202,111</u>
Operating expenses			
Personnel expenses	10	(620,552,380)	(605,009,612)
Depreciation and amortization		(117,865,289)	(81,232,809)
Other operating expenses	11	(401,717,744)	(399,197,920)
Operating profit/(loss) before Value Added Tax		<u>(22,954,406)</u>	<u>602,761,770</u>
Value Added Tax on financial services		(46,611,266)	(149,764,604)
Profit/(loss) before income tax		<u>(69,565,672)</u>	<u>452,997,166</u>
Income tax expense	12	(2,479,940)	-
Profit/(loss) for the year		<u><u>(72,045,612)</u></u>	<u><u>452,997,166</u></u>
Basic earnings per share (Rs.)	13.1	(0.34)	2.15
Dividend per share (Rs.)	14	-	-

Figures in brackets indicate deductions.

The accounting policies and notes on pages 06 to 63 form an integral part of these financial statements.

Colombo
27th June 2023

For the year ended 31st March

	Note	2023 Rs.	2022 Rs.
Profit/(loss) for the year		(72,045,612)	452,997,166
Other comprehensive income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods			
Fair value gain/(loss) on investment in quoted shares		19,193,999	(12,019,740)
		<u>19,193,999</u>	<u>(12,019,740)</u>
Other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Actuarial gain on retirement benefit plan	32.1	1,521,880	3,203,144
Deferred tax effect on above	22	456,564	768,755
		<u>1,978,444</u>	<u>3,971,899</u>
Other comprehensive income for the year net of tax		<u>21,172,443</u>	<u>(8,047,841)</u>
Total comprehensive income for the year net of tax		<u>(50,873,169)</u>	<u>444,949,325</u>

Figures in brackets indicate deductions.

The accounting policies and notes on pages 06 to 63 form an integral part of these financial statements.

Colombo
27th June 2023

As At 31st March

	Note	2023 Rs.	2022 Rs.
ASSETS			
Cash and cash equivalents	16	307,893,891	296,439,735
Financial assets - fair value through other comprehensive income	17	1,262,913,731	725,704,749
Loans and receivables to customers	18	12,941,011,251	14,125,811,999
Investments with banks and other financial institutions	19	236,013,310	242,460,738
Other assets	20	657,440,798	255,411,954
Real estate stock	21	10,656,618	9,338,093
Deferred tax asset	22	369,577,434	371,600,809
Goodwill	23	564,545,746	564,545,746
Brand value	23	235,880,000	235,880,000
Other intangible assets	24	25,097,945	37,899,935
Property, plant and equipment	25	70,733,416	84,505,805
Right-of-use of assets	26	96,792,682	115,496,074
Investment properties	27	690,316,465	662,150,002
Total assets		17,468,873,287	17,727,245,639
LIABILITIES			
Due to banks - bank overdrafts	16	240,846,238	680,571,641
Deposits from customers	28	10,759,498,577	9,204,263,013
Interest bearing borrowings	29	2,606,632,095	3,874,859,251
Lease liability - Right-of-use assets	30	46,222,825	76,660,167
Other liabilities	31	482,218,634	514,908,252
Retirement benefits obligation	32	52,448,752	44,103,980
Total liabilities		14,187,867,121	14,395,366,304
EQUITY			
Stated capital	33	2,431,879,039	2,431,879,039
Statutory reserve fund	34	375,736,747	375,736,747
Revaluation reserve	35	141,120,773	141,120,773
Retained earnings		332,269,607	383,142,776
Total equity		3,281,006,166	3,331,879,335
Total equity and liabilities		17,468,873,287	17,727,245,639
Net assets per share		15.54	15.78

Figures in brackets indicate deductions.

The accounting policies and notes on pages 06 to 63 form an integral part of these financial statements.

The financial statements are in compliance with the requirements of the Companies Act No. 07 of 2007.

(Sgd)
Manjula Thennakoon
Chief Financial Officer

(Sgd)
K.M.M. Jabir
Chief Executive Officer/Director

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Approved and signed for and on behalf of the Board.

(Sgd)
Rajendra Theagarajah
Chairman

(Sgd)
Prakash Schaffter
Director

ORIENT FINANCE PLC
STATEMENT OF CHANGES IN EQUITY

Page 4

For the year ended 31st March 2023

	Stated capital Rs.	Statutory reserve fund Rs.	Revaluation reserve Rs.	Retained earnings/ (accumulated losses) Rs.	Total Rs.
Balance as at 31st March 2021	2,431,879,039	330,437,030	141,120,773	(16,506,832)	2,886,930,010
Profit for the year	-	-	-	452,997,166	452,997,166
Transfer to statutory reserve (Note 34)	-	45,299,717	-	(45,299,717)	-
Other comprehensive income net of taxes	-	-	-	(8,047,841)	(8,047,841)
Balance as at 31st March 2022	<u>2,431,879,039</u>	<u>375,736,747</u>	<u>141,120,773</u>	<u>383,142,776</u>	<u>3,331,879,335</u>
loss for the year	-	-	-	(72,045,612)	(72,045,612)
Other comprehensive income net of taxes	-	-	-	21,172,443	21,172,443
Balance as at 31st March 2023	<u><u>2,431,879,039</u></u>	<u><u>375,736,747</u></u>	<u><u>141,120,773</u></u>	<u><u>332,269,607</u></u>	<u><u>3,281,006,166</u></u>

Figures in brackets indicate deductions.

The accounting policies and notes on pages 06 to 63 form an integral part of these financial statements.

Colombo
27th June 2023

For the year ended 31st March

	2023 Rs.	2022 Rs.
Cash flows from operating activities		
Profit/(loss) before income tax	(69,565,672)	452,997,166
Adjustment for:		
Depreciation and amortization	117,865,289	81,232,809
Profit on disposal of property, plant and equipment	(1,017)	(483,465)
Property, plant and equipment write off	-	3,197,024
Impairment charges for loans and receivables to customers	103,023,791	124,539,825
Impairment provision on real estate receivable	-	16,277,733
Finance expenses	2,600,022,595	1,159,466,921
Fair value gain on investment properties	(41,250,002)	(10,650,000)
Investment income	(218,411,364)	(69,006,866)
Provision for gratuity	14,355,236	9,182,059
Operating profit before working capital changes	2,506,038,856	1,766,753,206
Change in loans and receivables to customers	1,081,776,957	(2,803,321,484)
Change in other assets	(402,028,844)	14,337,774
Change in deposits from customers	1,215,290,906	534,878,008
Change in other liabilities	(32,689,618)	80,021,285
	4,368,388,257	(407,331,211)
Rent paid	(79,099,385)	(73,674,667)
Interest paid	(1,337,431,605)	(826,252,882)
Gratuity paid	(4,488,584)	(1,679,673)
Net cash from/(used in) operating activities	2,947,368,683	(1,308,938,433)
Cash flows from investing activities		
Acquisition of property, plant and equipment and intangible assets	(50,527,364)	(58,431,303)
Proceeds from sale of property, plant and equipment	113,350	525,669
Proceeds from sale of investment property	21,500,000	-
Expenses incurred for real estate stock	(1,318,525)	(851,308)
Net change in financial assets-FVTOCI	(518,014,983)	111,908,325
Net change in investments with bank and other financial institutions	7,177,152	(205,664,740)
Investment income received	15,737,151	40,589,824
Net cash generated used in investing activities	(525,333,219)	(111,923,533)
Cash flows from financing activities		
Interest bearing borrowings obtained	682,934,628	6,966,523,171
Repayment of interest bearing borrowings	(1,826,049,192)	(5,697,482,046)
Interest paid on borrowings	(827,741,341)	(378,292,116)
Net cash from/(used in) financing activities	(1,970,855,905)	890,749,009
Net change in cash and cash equivalents	451,179,559	(530,112,957)
Cash and cash equivalents at the beginning of the year	(384,131,906)	145,981,051
Cash and cash equivalents at the end of the year (Note A)	67,047,653	(384,131,906)
Analysis of cash and cash equivalents at the end of the year		
Cash in hand	222,627,839	230,339,894
Cash at bank	85,266,052	66,099,841
Bank overdrafts - secured	(240,846,238)	(680,571,641)
	67,047,653	(384,131,906)

Figures in brackets indicate deductions.

The accounting policies and notes on pages 06 to 63 form an integral part of these financial statements.

SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

1. REPORTING ENTITY**1.1 Corporate information**

Orient Finance PLC (“the company”) is a Public Limited Company incorporated and domiciled in Sri Lanka under the Companies Act No. 07 of 2007. The company is approved under the Finance Lease Act No. 56 of 2000 and Finance Business Act No. 42 of 2011 and is listed in the Colombo Stock Exchange.

The registered office of the company is located at No. 02, Deal Place, Colombo 03 and the business is carried out at 61, Dharmapala Mawatha, Colombo 07.

1.2 Principal activities and nature of operations

The principal activities of the company comprise finance leasing, hire purchasing, debt factoring, mobilization of deposits and pawning (gold loans) advances.

1.3 Parent entity and ultimate parent entity

In the opinion of the directors, the company’s parent undertaking is Janashakthi Limited.

1.4 Directors’ responsibility statement

The Board of Directors takes responsibility for the preparation and presentation of the financial statements of the company as per the provisions of the Companies Act No. 07 of 2007 and the requirements of the Sri Lanka Accounting Standards comprising LKASs and SLFRSs.

1.5 Date of authorization

The financial statements of the company for the year ended 31st March 2023 were authorized for issue by the Board of Directors on 27th June 2023.

2. BASIS OF PREPARATION**2.1 Statement of compliance**

The statement of financial position as at 31st March 2023, the income statement, statement of other comprehensive income, statement of changes in equity and statement of cash flows, and the summary of significant accounting policies and other explanatory information to the financial statements (“financial statements”) of the company for the year then ended, comply with the Sri Lanka Accounting Standards (SLFRSs/LKASs) as laid down by the Institute of Chartered Accountants of Sri Lanka (“CA Sri Lanka”) and the requirements of the Companies Act No. 07 of 2007 and the Finance Business Act No. 42 of 2011 and amendments thereto, and provide appropriate disclosures as required by the Listing Rules of the Colombo Stock Exchange.

2.2 Basis of measurement

The financial statements have been prepared on a historical cost basis except for the following material items in the statement of financial position:

Item	Basis of measurement
Financial assets measured at fair value through other comprehensive income	Fair value

SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

Item	Basis of measurement
Retirement benefits obligation	Liability is recognized as the present value of the retirement benefits obligation plus unrecognized actuarial gains less unrecognized past service cost and unrecognized actuarial losses.
Investment property: Land and Buildings	Fair value

2.3 Functional and presentation currency

The financial statements are presented in Sri Lankan Rupees, which is the company's functional currency. All financial information presented in Sri Lankan Rupees has been rounded to the nearest rupee unless stated otherwise.

2.4 Presentation of financial statements

The assets and liabilities of the company presented in its statement of financial position are grouped by nature and listed in an order that reflects their relative liquidity and maturity pattern. No adjustments have been made for inflationary factors affecting the financial statements. Maturity analysis is presented in Note 37 to the financial statements.

2.5 Materiality and aggregation

In compliance with LKAS 01 on "Presentation of Financial Statements", each material class of similar items is presented separately in the financial statements. Items of a dissimilar nature or functions are presented separately, unless they are immaterial.

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not offset in the income statement unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the notes to the financial statements.

2.6 Comparative information

Comparative information including quantitative, narrative and descriptive information is disclosed in respect of the previous period in the financial statements in order to enhance the understanding of the current period's financial statements and to enhance the inter-period comparability. The presentation and classification of the financial statements of the previous year are amended, where relevant for better presentation and to be comparable with those of the current year.

2.7 Going concern

The directors have made an assessment of the company's ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. The assessment took into consideration the existing and potential implications of the economic crises on the business operations and performance of the company and the measures adopted by the government to mitigate the economic crises and support recovery of the economy. The Board is not aware of any material uncertainties that may cast significant doubt upon the company's ability to continue as a going concern. Therefore, the financial statements continue to be prepared on the going concern basis.

SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS**2.8 Significant accounting judgments, estimates and assumptions**

The preparation of financial statements in conformity with Sri Lanka Accounting Standards (LKAS and SLFRS) requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimate is revised and in any future periods affected.

The most significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements of the company are as follows:

2.8.1 Fair value of financial instruments

Where the fair values of financial assets and financial liabilities recorded in the statement of financial position cannot be derived from active markets, they are determined using a variety of valuation techniques that include the use of mathematical models. The inputs to these models are derived from observable market data where possible, but if this is not available, judgment is required to establish fair values.

2.8.2 Classification of financial assets and liabilities

As per SLFRS 9, the significant accounting policies of the company provide scope for financial assets to be classified and subsequently measured into different categories, namely, at Amortised Cost, Fair Value through Other Comprehensive Income (FVOCI) and Fair Value Through Profit or Loss (FVTPL) based on the following criteria:

- the entity's business model for managing the financial assets as set out in Note 3.1.3.1.
- the contractual cash flow characteristics of the financial assets as set out in Note 3.1.3.2.

2.8.3 Impairment losses on financial assets

The measurement of impairment losses under SLFRS 9 across all categories of financial assets requires judgment, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining impairment losses. These estimates are based on the assumptions about a number of factors and the actual results may differ, resulting in future changes to the allowance.

Refer Notes 9 and 18 for more details relating to impairment loss assessment on financial assets.

2.8.4 Impairment of goodwill and brand

Impairment exists when the carrying value of goodwill and brand exceeds its recoverable amount, which is the higher of its fair value less costs of disposal and its value in use. The company has adopted value in use (VIU) method for impairment assessment and VIU calculation is based on a discounted cash flow (DCF) model. The cash flows are derived from the budget for the next five years and do not include restructuring activities that the company is not yet committed to or significant future investments that will enhance the performance of the company. The recoverable amount is sensitive to the discount rate used for the DCF model as well as the expected future cash-inflows and the growth rate used for extrapolation purposes. The key assumptions used to determine the recoverable amount of goodwill and brand are disclosed and further explained in Note 23 to the financial statements.

SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS**2.8.5 Defined benefit obligations**

The cost of the defined benefit pension plan is determined using an actuarial valuation. The actuarial valuation involves making various assumptions determining the discount rates, future salary increases, mortality rates etc. Due to the long term nature of these plans, such estimates are subject to significant uncertainty. All assumptions are reviewed at each reporting date.

In determining the appropriate discount rate, management considers the interest rates of Sri Lanka government bonds with extrapolated maturities corresponding to the expected duration of the defined benefits obligation.

The mortality rate is based on publicly available mortality tables. Future salary increases are based on expected future inflation rates and the expected future salary increase rate of the company.

2.8.6 Useful economic lives of property, plant and equipment

Useful economic lives of property, plant and equipment are estimated as disclosed in Note 3.4.4 to the financial statements.

2.8.7 SLFRS 16 - Leases**2.8.7.1 Determination of the lease term for lease contracts with renewal and termination options (company as a lessee)**

The Company determines the lease term as the non-cancellable term of the lease, together with any periods covered by an option to extend the lease if it is reasonably certain to be exercised, or any periods covered by an option to terminate the lease, if it is reasonably certain not to be exercised. The company has several lease contracts that include extension and termination options. The company applies judgment in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create an economic incentive for it to exercise either the renewal or termination option. After the commencement date, the company reassesses the lease term if there is a significant event or change in circumstances that is within its control that affects its ability to exercise or not to exercise the option to renew or to terminate (e.g., construction of significant leasehold improvements or significant customisation of the leased asset).

2.8.7.2 Estimating the incremental borrowing rate

As the company cannot readily determine the interest rate implicit in the lease, it uses its incremental borrowing rate ("IBR") to measure the lease liabilities. The IBR is the rate of interest that the company would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The IBR therefore reflects what the company "would have to pay", which requires estimation when no observable rates are available (or when they need to be adjusted to reflect the terms and conditions of the lease). The company estimates the IBR using observable input when available and is required to make certain entity-specific adjustments.

2.8.8 Impact of prevailing macroeconomic conditions

The prevailing macroeconomic conditions and their related implications have increased the uncertainty of estimates made in the preparation of the Financial Statements. The estimation uncertainty is associated with:

- the extent and duration of the disruption to businesses arising from the prevailing macroeconomic conditions and the related actions of stakeholders such as government, businesses and customers
- the extent and duration of the prevailing macroeconomic conditions due to the impact on GDP, capital markets, credit risk of customers, impact of unemployment and possible decline in consumer discretionary spending
- the effectiveness of Government and Central Bank measures that have been put in place in response to the prevailing circumstances

The significant accounting estimates impacted by these forecasts and associated uncertainties are related to impairment of financial assets and recoverable amount assessments of non-financial assets, recoverable value of property, plant and equipment and investment properties.

The impact of prevailing macroeconomic conditions on accounting estimates is discussed under the relevant notes to these financial statements.

2.9 Changes in Accounting Policies

The company has consistently applied the accounting policies to all periods presented in these financial statements, except for the changes arising out of amendments to Accounting Standards as set out below:

2.10 Changes to already existing accounting standards

The company applied certain standards and amendments for the first time, which are effective for annual periods beginning on or after 1 January 2022.

2.10.1 Amendments to SLFRS 16 Covid-19 Related Rent Concessions beyond 30 June 2021

The amendments provide relief to lessees from applying SLFRS 16 guidance on lease modification accounting for rent concessions arising as a direct consequence of the Covid-19 pandemic. As a practical expedient, a lessee may elect not to assess whether a Covid-19 related rent concession from a lessor is a lease modification.

A lessee that makes this election accounts for any change in lease payments resulting from the Covid-19 related rent concession in the same way it would account for the change under SLFRS 16, if the change were not a lease modification. The company has applied practical expedients for Covid-19 related rent concessions which have been extended up to March 2023.

SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS**2.10.2 New accounting standards, amendments and interpretations issued but not yet effective**

The new and amended standards and interpretations that are issued, but are not yet effective, up to the date of issuance of the company's financial statements are disclosed below.

The company intends to adopt these amended standards and interpretations, if applicable, when they become effective.

Accounting Standard	Description	Effective Date
Deferred Tax related to Assets and Liabilities arising from a Single Transaction (Amendments to LKAS 12)	The amendments narrow the scope of the initial recognition exemption to exclude transactions that give rise to equal and offsetting temporary differences - e.g. leases.	01 st January 2023
Amendments to LKAS 1	Classification of liabilities as current or non-current	01 st January 2023
Amendments to LKAS 1 and SLFRS Practice Statement 2	Disclosure of accounting policies	01 st January 2023
Amendments to LKAS 8	Definition of accounting estimates	01 st January 2023
Amendments to SLFRS 16	Lease liability in a sale and leased back	01 st January 2024

The assessment of the impact on the company does not have any material impact on the financial statement of the company.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to all periods presented in these financial statements of the company unless otherwise indicated.

3.1 Financial instruments - Initial recognition, classification and subsequent measurement**3.1.1 Date of recognition**

The company initially recognizes loans and advances, deposits and subordinated liabilities, etc., on the date on which they are originated. All other financial instruments (including regular-way purchases and sales of financial assets) are recognised on the trade date, which is the date on which the company becomes a party to the contractual provisions of the instrument.

3.1.2 Initial measurement of financial instruments

The classification of financial instruments at initial recognition depends on their cash flow characteristics and the business model for managing the instruments. Refer Note 3.1.3 and 3.1.4 for further details on classification of financial instruments.

A financial asset or financial liability is measured initially at fair value plus or minus transaction costs that are directly attributable to its acquisition or issue, except in the case of financial assets and financial liabilities at fair value through profit or loss as per SLFRS 9 and trade receivables that do not have a significant financing component as defined by SLFRS 15.

Transaction costs in relation to financial assets and financial liabilities at fair value through profit or loss are dealt with through the income statement.

Trade receivables that do not have a significant financing component are measured at their transaction price at initial recognition as defined in SLFRS 15.

When the fair value of financial instruments (except trade receivables that do not have a significant financing component) at initial recognition differs from the transaction price, the company accounts for the Day 1 profit or loss, as described below:

3.1.2.1 “Day 1” profit or loss

When the transaction price of the instrument differs from the fair value at origination and fair value is based on a valuation technique using only inputs observable in market transactions, the company recognises the difference between the transaction price and fair value in net gains/(losses) from trading. In those cases, where the fair value is based on models for which some inputs are not observable, the difference between the transaction price and the fair value is deferred and is only recognised in profit or loss when the inputs become observable, or when the instrument is derecognised.

3.1.3 Classification and subsequent measurement of financial assets

As per SLFRS 9, the company classifies all of its financial assets based on the business model for managing the assets and the assets’ contractual terms measured at one of the following:

- Amortised cost
- Fair value through other comprehensive income (FVTOCI)
- Fair value through profit or loss (FVTPL)

The subsequent measurement of financial assets depends on their classification.

3.1.3.1 Business model assessment

The company makes an assessment of the objective of a business model in which an asset is held at a portfolio level and not assessed on instrument-by-instrument basis because this best reflects the way the business is managed and information is provided to management.

The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. In particular, whether management’s strategy focuses on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realizing cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the company’s management;
- how managers of the business are compensated - e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- the frequency, volume and timing of sales in prior periods and the reasons for such sales and its expectations about future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of how the company’s stated objective for managing the financial assets is achieved and how cash flows are realized.

SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

The business model assessment is based on reasonably expected scenarios without taking ‘worst case’ or ‘stress case’ scenarios into account. If cash flows after initial recognition are realized in a way that is different from the company’s original expectations, the company does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

3.1.3.2 Assessment of whether contractual cash flows are solely the payments of principal and interest (SPPI test)

As a second step of its classification process the company assesses the contractual terms of financial assets to identify whether they meet the SPPI test.

For the purposes of this assessment, “principal” is defined as the fair value of the financial asset on initial recognition and may change over the life of the financial asset (for example, if there are repayments of principal or amortisation of the premium/discount).

“Interest” is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs, as well as the profit margin.

In contrast, contractual terms that introduce a more than de minimising exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement do not give rise to contractual cash flows that are solely the payments of principal and interest on the principal amount outstanding. In such cases, the financial asset is required to be measured at FVTPL.

In assessing whether the contractual cash flows are solely the payments of principal and interest on principal amount outstanding, the company considers the contractual terms of the instrument. This includes assessing whether the financial asset contains such a contractual term that could change the timing or amount of contractual cash flows that it would not meet this condition. In making the assessment, the company considers the following.

- contingent events that would change the amount and timing of cash flows
- leverage features
- prepayment and extension terms
- terms that limit the company’s claim to cash flows from specified assets
- features that modify consideration of the time value of money

Refer Notes 3.1.3.3 and 3.1.3.4 below for details on different types of financial assets recognised in the Statement of Financial Position (SOFPI).

3.1.3.3 Financial assets measured at amortised cost

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL

- the asset is held within a business model whose objective is to hold assets to collect contractual cash flows
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely the payments of principal and interest on the principal amount outstanding.

Financial assets measured at amortised cost are given in Notes 3.1.3.3.1 to 3.1.3.3.4 below.

3.1.3.3.1 Loans and advances to customers

Loans and advances to customers include loans and advances, and lease and hire purchase receivables of the company.

Details of “Loans and advances to customers” are given in Note 18.

3.1.3.3.2 Investment in reverse repurchase agreement against the treasury bills and bonds

When the company purchases a financial asset and simultaneously enters into an agreement to resell the asset (or a similar asset) at a fixed price on a future date (reverse repo), the agreement is accounted for as a financial asset in the SOFP reflecting the transaction’s economic substance as a loan granted by the company. Subsequent to initial recognition, these securities issued are measured at amortised cost using the EIR with the corresponding interest income/receivable being recognized as interest income in profit or loss.

Details of “Investment in reverse repurchase agreement against the treasury bills and bonds” are given in Note 17.

3.1.3.3.3 Cash and cash equivalents

Cash and cash equivalents include cash in hand, placements with banks and loans at call and at short notice that are subject to an insignificant risk of changes in their fair value, and are used by the company in the management of its short-term commitments. They are brought to the financial statements at their face values or the gross values, where appropriate. Cash and cash equivalents are carried at amortized cost in the statement of financial position.

Details of “Cash and cash equivalents” are given in Note 16.

3.1.3.3.4 Investments with banks and other financial institutions

Details of “Investments with banks and other financial institutions” are given in Note 19.

3.1.3.4 Financial assets measured at FVTOCI

Financial assets at FVOCI include debt and equity instruments measured at fair value through other comprehensive income.

3.1.3.4.1 Debt instruments measured at FVTOCI

Debt instruments are measured at FVTOCI if they are held within a business model whose objective is to hold for collection of contractual cash flows and for selling financial assets, where the asset’s cash flows represent payments that are solely the payments of principal and interest on principal outstanding.

FVTOCI debt instruments are subsequently measured at fair value with gains and losses arising due to changes in fair value recognised in OCI. Interest income and foreign exchange gains and losses and ECL and reversals are recognised in profit or loss. On derecognition, cumulative gains or losses previously recognised in OCI are reclassified from OCI to profit or loss.

These instruments comprise Government Securities that had previously been classified as available for sale.

Details of “Debt instruments at FVTOCI” are given in Note 17.

3.1.3.4.2 Equity instruments designated at FVTOCI

Upon initial recognition, the company elects to classify irrevocably some of its equity investments held for strategic and statutory purposes as equity instruments at FVTOCI.

Details of “Equity instruments at FVTOCI” are given in Note 17.

3.1.4 Classification and subsequent measurement of financial liabilities

As per SLFRS 9, the company classifies financial liabilities, other than financial guarantees and Type your text than commitments into one of the following categories

- Financial liabilities at fair value through profit or loss, and within this category as -
 - Held-for-trading; or
 - Designated at fair value through profit or loss
- Financial liabilities measured at amortised cost

The subsequent measurement of financial liabilities depends on their classification.

3.1.4.1 Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. The company does not have any financial liabilities at fair value through profit or loss.

3.1.4.2 Financial liabilities at amortized cost

Financial liabilities issued by the company that are not designated at FVTPL are classified as financial liabilities at amortized cost under “Deposits from customers”, “Due to banks” or “Other borrowings” as appropriate, where the substance of the contractual arrangement results in the company having an obligation either to deliver cash or another financial asset to the holder, or to satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of its own equity shares. The company classifies capital instruments as financial liabilities or equity instruments in accordance with the substance of the contractual terms of the instrument.

After initial recognition, such financial liabilities are subsequently measured at amortized cost using the EIR method. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR.

The EIR amortization is included in “Interest expense” in the income statement. Gains and losses are also recognized in the income statement when the liabilities are derecognized as well as through the EIR amortization process.

3.1.5 Reclassification of financial assets and liabilities

As per SLFRS 9, Financial assets are not reclassified subsequent to their initial recognition, except and only in those rare circumstances when the company changes its objective of the business model for managing such financial assets which may include the acquisition, disposal or termination of a business line.

Financial Liabilities are not reclassified as such reclassifications are not permitted by SLFRS 9.

3.1.5.1 Measurement of reclassification of financial assets

3.1.5.1.1 Reclassification of Financial Instruments at 'Fair value through profit or loss'

- To Fair value through other comprehensive income
The fair value on reclassification date becomes the new gross carrying amount. The EIR is calculated based on the new gross carrying amount. Subsequent changes in the fair value are recognized in OCI.
- To Amortised Cost
The fair value on reclassification date becomes the new carrying amount. The EIR is calculated based on the new gross carrying amount.

3.1.5.1.2 Reclassification of Financial Instruments at 'Fair value through other comprehensive income'

- To Fair value through profit or loss
The accumulated balance in OCI is reclassified to profit and loss on the reclassification date.
- To Amortised Cost
The financial asset is reclassified at fair value. The cumulative balance in OCI is removed and is used to adjust fair value on the reclassification date. The adjusted amount becomes the amortized cost.

EIR determined at initial recognition and gross carrying amount is not adjusted as a result of reclassification.

3.1.5.1.3 Reclassification of Financial Instruments at "Amortized Cost"

- To Fair value through other comprehensive income
The asset is remeasured to fair value, with any difference recognised in OCI. EIR determined at initial recognition is not adjusted as a result of reclassification.
- To Fair value through profit or loss
The fair value on the reclassification date becomes the new carrying amount. The difference between amortized cost and fair value is recognised in profit and loss.

3.1.6 Derecognition of financial assets and financial liabilities

3.1.6.1 Financial assets

The company derecognizes a financial asset (or where applicable a part thereof) when the contractual rights to the cash flows from the financial asset expire or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all risks and rewards of ownership of the financial asset are transferred or in which the company neither transfers nor retains substantially all risks and rewards of ownership nor retains control of the financial asset.

3.1.6.2 Financial liabilities

The company derecognizes a financial liability when its contractual obligations are discharged, cancelled or expire.

3.1.7 Modification of financial assets and financial liabilities

3.1.7.1 Financial assets

If the terms of a financial asset are modified, the company evaluates whether the cash flows of the modified asset are substantially different. If the cash flows are substantially different, then the contractual rights to cash flows from the original financial asset are deemed to have expired. In this case, the original financial asset is derecognized and a new financial asset is recognized at fair value.

As per SLFRS 9, if the cash flows of the modified asset carried at amortized cost are not substantially different, then the modification does not result in derecognition of the financial asset. In this case, the company recalculates the gross carrying amount of the financial asset and recognizes the amount arising from adjusting the gross carrying amount as a modification gain or loss in profit or loss. If such a modification is carried out because of financial difficulties of the borrower, then the gain or loss is presented together with impairment losses. In other cases, it is presented as interest income.

3.1.7.2 Financial liabilities

Where an existing financial liability is replaced by another from the same lender on substantially different terms or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. In this case, a new financial liability based on the modified terms is recognized at fair value. The difference between the carrying amount of the financial liability extinguished and the new financial liability with modified terms is recognized in profit or loss.

3.1.8 Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount reported in the SOFP if, and only if, there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liabilities simultaneously.

Income and expenses are presented on a net basis only when permitted under SLFRSs, or for gains and losses arising from a group of similar transactions such as in the company's trading activity.

3.1.9 Amortized cost and gross carrying amount

The "amortized cost" of a financial asset or financial liability is the amount at which the financial asset or financial liability is measured on initial recognition minus the principal repayments, plus or minus the cumulative amortization using the EIR method of any difference between that initial amount and the maturity amount and, for financial assets, adjusted for any ECL allowance.

The "gross carrying amount of a financial asset" is the amortized cost of a financial asset before adjusting for any ECL allowance.

3.1.10 Fair value of financial instruments

Fair value measurement of financial instruments including the fair value hierarchy is explained in Note 47.

3.1.11 Identification and measurement of impairment of financial assets

3.1.11.1 Overview of the ECL principles

As per SLFRS 9, the company records an allowance for expected credit losses for loans and advances to customers, debt and other financial instruments measured at amortised cost, debt instruments measured at fair value through other comprehensive income and loan commitments.

SLFRS 9 outlines a “three-stage” model for impairment based on changes in credit quality since initial recognition.

- Stage 1: A financial asset that is not originally credit-impaired on initial recognition is classified in Stage 1. Financial instruments in Stage 1 have their ECL measured at an amount equal to the proportion of lifetime expected credit losses (LTECL) that result from default events possible within the next 12 months (12M ECL).
- Stage 2: If a significant increase in credit risk (SICR) since origination is identified, it is moved to Stage 2 and the company records an allowance for LTECL. Refer Note 3.1.11.2 for description on how the company determines when a significant increase in credit risk has occurred.
- Stage 3: If a financial asset is credit-impaired, it is moved to Stage 3 and the company recognises an allowance for LTECL, with probability of default at 100%. Refer Note 3.1.11.3 for a description on how the company defines credit impaired and default.
- Purchased or originated credit impaired (POCI) financial assets: Financial assets which are credit impaired on initial recognition are categorised within Stage 3 with a carrying value already reflecting the lifetime expected credit losses. The company does not have POCI loans as at the reporting date.

The key judgments and assumptions adopted by the company in addressing the requirements of SLFRS 9 are discussed below:

3.1.11.2 Significant increase in credit risk

When determining whether the risk of default on a financial instrument has increased significantly since initial recognition, the company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both the quantitative and qualitative information analysis, based on the company’s historical experience and expert credit assessment including forward looking information.

The company considers the exposure to have significantly increased credit risk when contractual payments of a customer are more than 60 days past due in accordance with the rebuttable presumption in SLFRS 9.

SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

The company individually reviews at each reporting date, loans and advances above a predefined threshold to identify whether the credit risk has increased significantly since origination, before an exposure is in default. Such indicators include, inter alia:

- When reasonable and supportable forecasts of future economic conditions directly affect the performance of a customer/group of customers, portfolios or instruments
- When there is a significant change in the geographical locations or natural catastrophes that directly impact the performance of a customer/group of customers or instruments
- When the value of collateral is significantly reduced and/or realizability of collateral is doubtful
- When a customer is subject to litigation that significantly affects the performance of the credit facility
- Modification of terms resulting in concessions, including extensions, deferment of payments, waiver of covenants
- When the customer is deceased/insolvent
- When the company is unable to contact or find the customer

Credit facilities/exposures which have one or more of the above indicators are treated as facilities with significant increase in credit risk and assessed accordingly in ECL computations. The company regularly monitors the effectiveness of the criteria used to identify significant increase in credit risk to confirm that the criteria is capable of identifying a significant increase in credit risk before an exposure is in default.

For debt instruments having an external credit rating, which are measured at amortised cost or at FVOCI, the company determines significant increase in credit risk based on the generally accepted investment/non-investment grade definitions published by international rating agencies. Debt instruments are moved to stage 2 if their credit risk increases to the extent that they are no longer considered investment grade.

3.1.11.3 Definition of default and credit impaired assets

The company considers loans and advances to customers as defaulted when:

- The borrower is unlikely to pay its obligations to the company in full, without recourse by the company to actions such as realising security (if any is held); or
- The borrower becomes 120 days past due on its contractual payments.

In addition, the company classifies the financial investments under stage 3 when the external credit rating assigned to the particular investment is in “default”.

In assessing whether a borrower is in default, the company reviews its individually significant loans and advances above a predefined threshold at each reporting date. The company considers non-performing credit facilities/customers with one or more of indicators set out in Note 3.1.11.2 above as credit impaired.

3.1.11.4 Movement between the stages

Financial assets can be transferred between the different categories (other than POCI) depending on their relative change in credit risk since initial recognition. Financial instruments are transferred out of stage 2 if their credit risk is no longer considered to be significantly increased since initial recognition based on the assessments described in Note 3.1.11.2. Financial instruments are transferred out of stage 3 when they no longer exhibit any evidence of credit impairment as described above.

3.1.11.5 Grouping financial assets measured on collective basis

The company calculates ECLs either on a collective or an individual basis. Asset classes where the company calculates ECL on individual basis include credit impaired facilities of individually significant customers.

Those financial assets for which, the company determines that no provision is required under individual impairment are then collectively assessed for ECL. For the purpose of ECL calculation on a collective basis, financial assets are grouped on the basis of similar risk characteristics. Loans and advances to customers are grouped into homogeneous portfolios based on a combination of product and customer characteristics.

3.1.11.6 The calculation of Expected Credit Loss Principle (ECL)

The company calculates ECL based on 3 probability weighted scenarios to measure expected cash shortfalls, discounted at an approximation to the EIR.

A cash shortfall is the difference between the cash flows that are due to an entity in accordance with the contract and the cash flows that the entity expects to receive.

The mechanics of the ECL calculation are outlined below and the key elements are as follows:

- PD: The Probability of Default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognized and is still in the portfolio.
- EAD: Exposure At Default is the estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of the principal and interest, whether scheduled by contract or otherwise, expected draw down on committed facilities and accrued financing income from missed payments.
- LGD: Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lenders would expect to receive, including realization of any collateral.

Forward-looking information

The company incorporates forward-looking information into both its assessments as to whether the credit risk of an instrument has increased significantly since its initial recognition and its measurement of ECL.

SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

The company has identified key drivers of credit risk both quantitatively and qualitatively for various portfolio segments. Quantitative economic factors are based on economic data and forecasts published by CBSL and supranational organisations such as IMF.

Quantitative drivers of credit risk

GDP growth
Unemployment rate
Interest rate (AWPLR)
Rate of inflation
Exchange rate

Qualitative drivers of credit risk

Status of industry business
Regulatory impact
Government policies

At the reporting date, the company adopted an approach recognizing that COVID-19 is the key driver of the macroeconomic outlook at the reporting date.

COVID - 19 impact on loans and advances

The company has provided relief such as deferment of repayment terms of credit facilities for the affected businesses and individuals due to COVID-19 in line with the directions issued by the CBSL. Utilization of a payment deferral program does not, all else being equal, automatically trigger a SICR. As such, key issue will be to distinguish between the cases where the payment holidays provide relief from short-term liquidity constraints impacting the borrower that do not amount to a SICR. Given the high degree of uncertainty and unprecedented circumstances in the short-term economic outlook, the Management exercised judgments in the assessment of the impact of the COVID-19 outbreak on the loans and advances portfolio, relying more on the long-term outlook as evidenced by past experience and taking into consideration various relief measures including concessionary financing and payment moratorium.

The impact of the outbreak has been assessed and adjusted in these financial statements based on the available information and assumptions made as at reporting date in line with the guidelines issued by the CBSL and the CA Sri Lanka. In response to COVID-19 and expectations of economic impacts, key assumptions used in the calculation of ECL have been revised. As at the reporting date, the expected impacts of COVID-19 have been captured via the modelled outcome as well as a separate management overlay reflecting the considerable uncertainty remaining in the modelled outcome given the unprecedented impacts of COVID-19.

Accordingly, the company took steps to identify the customers showing distress signs in identifying SICR under the individual impairment assessment. Under the individual assessment, customers operating in risk elevated industries including Tourism, supplying hardware items, printing and publishing, tobacco related business, passenger transport and electronic items were assessed individually in ECL model. In addition, as expert credit judgment, the stressed ECL parameters such as PDs and LGDs to reflect the real economic scenario that is not reflected due to the deferrals and concessions granted due to COVID-19. Early observations of payment behavior of expiries for this year were considered in the assessment of the changes in the risk of default occurring over the expected life of a financial instrument when determining staging and is a key input in determining migration.

3.1.12 Write-off of loans and advances

Loans (and the related impairment allowance accounts) are normally written off, either partially or in full, when there is no realistic prospect of recovery. Where loans are secured, this is generally after receipt of any proceeds from the realization of security.

3.2 Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between the market participants at the measurement date.

The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- in the principal market for the asset or liability or
- in the absence of a principal market, in the most advantageous market for the asset or liability

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

Level 1

When available, the company measures fair value of an instrument using the active quoted prices or dealer price quotations (assets and long positions are measured at a bid price; liabilities and short positions are measured at an asking price), without any deduction for transaction costs. A market is regarded as active if quoted prices are readily and regularly available and represent actual and regularly occurring market transactions on an arm's length basis.

Level 2

If a market for a financial instrument is not active, then the company establishes fair value using a valuation technique. Valuation techniques include using the recent arm's length transactions between the knowledgeable, willing parties (if available), reference to the current fair value of other instruments that are substantially the same, discounted cash flow analyses, credit models, option pricing models and other relevant valuation models.

The chosen valuation technique makes the maximum use of market inputs, relies as little as possible on estimates specific to the company, incorporates all factors that market participants would consider in setting a price, and is consistent with accepted economic methodologies for pricing financial instruments. Inputs to valuation techniques reasonably represent market expectations and measures of the risk-return factors inherent in the financial instrument. The company calibrates valuation techniques and tests them for validity using prices from observable current market transactions in the same instrument or based on other available observable market data.

The best evidence of the fair value of a financial instrument at initial recognition is the transaction price, i.e. the fair value of the consideration given or received unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument, i.e. without modification or repackaging, or based on a valuation technique whose variables include only data from observable markets.

When transaction price provides the best evidence of fair value at initial recognition, the financial instrument is initially measured at the transaction price and any difference between this price and the value initially obtained from a valuation model is subsequently recognized in profit or loss on an appropriate basis over the life of the instrument but not later than when the valuation is supported wholly by observable market data or the transaction is closed out.

Level 3

Certain financial instruments are recorded at fair value using the valuation techniques in which the current market transactions or observable market data are not available. Their fair value is determined by using the valuation models that have been tested against prices or inputs to actual market transactions and also using the best estimate of the most appropriate model assumptions. Models are adjusted to reflect the spread for bid and ask prices to reflect costs to close out positions, credit and debit valuation adjustments, liquidity spread and limitations in the models. Also, profit or loss calculated when such financial instruments are first recorded ('Day 1' profit or loss) is deferred and recognized only when the inputs become observable or on de-recognition of the instrument.

3.3 Inventories

Inventories consist of stationery purchased for the office use. Inventories are measured at lower of cost or net realizable value.

Cost of inventories is based on the first in first out principle, and includes expenditure incurred in acquiring the inventories and other costs incurred in bringing them to their existing location and condition.

3.4 Property, plant and equipment

Property, plant and equipment are tangible items that are held for use in the supply of services, or for administrative purposes and are expected to be used for more than a one year period.

3.4.1 Recognition

Property, plant and equipment are tangible items that are held for use in the production or supply of services, for rental to others or for administrative purposes and are expected to be used during more than one period. The company applies the requirements of the Sri Lanka Accounting Standard - LKAS 16 (Property, Plant and Equipment) in accounting for these assets. Property, plant and equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the company and the cost of the asset can be reliably measured.

3.4.2 Measurement

Land and Buildings are stated at revalued amounts, net of accumulated depreciation.

SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

Other property, plant and equipment are stated at cost or valuation less accumulated depreciation and accumulated impairment losses.

Cost includes expenditures that are directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the assets to a working condition for their intended use, the cost of dismantling and removing the items and restoring the site on which they are located.

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

Gains and losses on disposal of an item of property, plant and equipment are determined by comparing the proceeds from disposal with the carrying amount of property, plant and equipment, and are recognized net within other income in profit and loss.

Purchased software that is integrated to the functionality of the related equipment is capitalized as intangible assets.

The company applies the revaluation model to the entire class of freehold land and buildings. Such properties are carried at a revalued amount, being their fair value at the date of revaluation less any subsequent accumulated depreciation and subsequent accumulated impairment losses. Freehold land and buildings of the company are revalued by independent professional valuers more frequently if the fair values are substantially different from carrying amounts, to ensure that the carrying amounts do not differ from the fair values as at the reporting date.

3.4.3 Subsequent expenditure

Expenditure incurred to replace a component of an item of property, plant and equipment that is accounted for separately, including major inspection and overhaul expenditure, is capitalized. The cost of replacing part of an item of property, plant and equipment is recognized in the carrying amount of the item, if it is probable that the future economic benefits embodied within the part will flow to the company and its cost can be measured reliably. The carrying amount of the replaced part is derecognized. The cost of the day-to-day servicing of property, plant and equipment is recognized in profit or loss as incurred. When replaced costs are recognized in the carrying amount of an item of property, plant and equipment, the remaining carrying amount of the replaced part is derecognized.

3.4.4 Depreciation

Depreciation is recognized in the income statement on a straight-line basis over the estimated useful lives of each part of an item of property, plant and equipment. Leased assets are depreciated over the shorter of the lease terms and other useful lives unless it is reasonably certain that the company will obtain the ownership by the end of the lease period.

The estimated useful lives are as follows:

Furniture and fittings	4 years
Office equipment	4 years
Computer equipment	4 years
Motor vehicles	4 years

SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

Depreciation of an asset begins when it is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by the management. Depreciation of an asset ceases at the earlier of the date that the asset is classified as held for sale (or included in a disposal group that is classified as held for sale) and the date that the asset is derecognized.

Depreciation methods, useful lives and residual values are reviewed at each financial year end and adjusted, if appropriate.

3.5 Investment properties

Investment properties are the properties held either to earn rental income or for capital appreciation or for both. They are not properties held for sale in the ordinary course of business, used in the production or supply of goods or service or for administrative services.

3.5.1 Basis of recognition

Investment property is recognized if it is probable that future economic benefits that are associated with the investment property will flow to the company and if the cost of the investment property can be measured reliably.

3.5.2 Measurement

An investment property is measured initially at its cost. The cost of a purchased investment property comprises its purchase price and any directly attributable expenditure. The carrying amount includes the cost of replacing part of an existing Investment Property at the time that the cost is incurred if the recognition criteria are met, and excludes the cost of day-to-day servicing of an investment property.

Subsequent to initial recognition, investment properties are stated at fair value, which reflects the market conditions at the reporting date. Gains or losses arising from changes in the fair values of investment properties are included in the income statement in the year in which they arise. The company revalues investment property at least once in three years.

3.5.3 Derecognition

Investment Properties are derecognized when either they have been disposed of or when the Investment Property is permanently withdrawn from use and no future economic benefits are expected from its disposal. Any gains or losses arising on the retirement or disposal of an Investment Property are recognized in the income statement in the year of retirement or disposal.

3.6 Leases**3.6.1 Right-of-Use Assets - Company as a lessee****a) Basis of recognition**

The company applies Sri Lanka Accounting Standard SLFRS 16 “Leases” (SLFRS 16) in accounting for all leasehold rights except for short-term leases, which are held for use in the provision for services.

b) Basis of measurement

The company recognizes right-of-use assets at the date of commencement of the lease, which is the present value of lease payments to be made over the lease term. Right-of-use assets are measured at cost less any accumulated amortization and impairment losses and adjusted for any re-measurement of lease liabilities. The cost of the right-of-use assets includes the amount of lease liabilities recognized, initial direct cost incurred and the lease payments made at, or before the commencement date less any lease incentives received.

c) Depreciation

Right-of-use assets are depreciated over the lease term of the assets as there is no reasonable certainty that the company will obtain the ownership of such assets by the end of the lease term.

3.6.2 Lease liability

At the commencement date of the lease, the company recognizes lease liabilities, measured at present value of lease payments to be made over the lease term. The present value of lease commitments has been calculated using the weighted average incremental borrowing rate.

Details of “Right-of-use asset” and “Lease liability” are given in Notes 26 and 30 respectively.

3.6.3 Operating leases - Company as a lessor

As per SLFRS 16, a lease is classified as an operating lease if it does not transfer substantially all the risks and rewards incidental to ownership of an underlying asset. The company recognizes lease payments from operating leases as income on a straight-line basis. Initial direct costs incurred in negotiating the operating leases are added to the carrying amount of the leased asset and recognized over the lease term on the same basis as rental income. Contingent rents are recognized as revenue in the period in which they are earned.

3.7 Intangible assets

Intangible assets acquired separately are measured initially at cost. Following the initial recognition of the intangible assets, the cost model is applied requiring the assets to be carried at cost less any accumulated amortization and accumulated impairment losses.

3.7.1 Intangible assets with finite lives and amortization

Intangible assets with finite lives are amortized over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortization period and the amortization method for an intangible asset with a finite useful life is reviewed at least at each financial year end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortization period or method, as appropriate, and treated as changes in accounting estimates. The amortization expense on intangible assets with finite lives is recognized in the income statement in the expense category consistent with the function/nature of the intangible asset. Amortization commences when the assets are available for use.

3.7.1.1 Computer software

Computer software is amortized over four years from the date of acquisition.

3.7.2 Intangible assets with indefinite lives and amortization

Intangible assets with indefinite useful lives are not amortized but are tested for impairment annually either individually or at the CGU level as appropriate, when circumstances indicate that the carrying value is impaired. The useful life of an intangible asset with an indefinite life is reviewed annually to determine whether the indefinite life assessment continues to be supportable. If not, the change in the useful life assessment from indefinite to finite is made on a prospective basis.

3.7.2.1 Brand value

Brand value is not amortized and is tested for impairment annually.

3.7.3 Derecognition of intangible assets

Intangible assets are derecognized on disposal or when no future economic benefits are expected from its use. Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net proceeds and the carrying amount of the asset and are recognized in the income statement.

3.8 Impairment of non-financial assets

3.8.1 Recognition

The carrying values of the company's non-financial assets are reviewed at each reporting date to determine whether there is any indication of impairment.

If any such indication exists, the asset's recoverable amount is estimated (see below). An impairment loss is recognized whenever the carrying amount of the asset or its cash-generating unit exceeds its recoverable amount. Impairment losses are recognized in the income statement.

For the assets that have indefinite useful life and intangible assets that are not yet available for use, the recoverable amount is estimated at each reporting date.

3.8.2 Calculation of recoverable amount

The recoverable amount is the greater of their fair value less cost to sell and value in use. In assessing the value in use, the estimated future cash flows are discounted to their present value using a discount rate that reflects the current market assessment of their time value of money and the risk specific to the asset. For an asset that does not generate largely independent cash inflows, the recoverable amount is determined for the cash-generating unit to which the asset belongs.

3.8.3 Reversal of impairment

An impairment loss is reversed if there is a change in the estimates used to determine the recoverable amount.

An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortization, if no impairment loss had been recognized.

3.9 Deposits due to customers

These include term deposits and certificates of deposits. Subsequent to initial recognition, deposits are measured at their amortised cost using the effective interest method, except where the company designates liabilities at fair value through profit or loss. They are stated in the statement of financial position at the amount payable. Interest paid / payable on these deposits based on the effective interest rate is charged to the income statement.

3.10 Other liabilities

Other liabilities are recorded at amounts expected to be payable at the reporting date.

3.11 Employee benefits

3.11.1 Defined contribution plans

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution plans are recognized as an employee benefit expense in profit or loss in the periods during which services are rendered by employees.

3.11.1.1 Employees' Provident Fund (EPF)

The company and employees contribute 12% and 8% respectively on the salary of each employee to the approved Provident Fund.

3.11.1.2 Employees' Trust Fund (ETF)

The company contributes 3% of the salary of each employee to the Employees' Trust Fund.

3.11.2 Defined benefit plans

3.11.2.1 Retirement benefit obligations

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The company's net obligation in respect of defined benefit pension plans is calculated by estimating the amount of future benefit that the employees have earned in return for their service in the current and prior periods and that benefit is discounted to determine its present value. Any unrecognized past service costs are deducted.

The calculation is performed by a qualified actuary using a "Projected Unit Credit" method. For the purpose of determining the charge for any period before the next regular actuarial valuation falls due, an approximated estimate provided by the qualified actuary is used. The assumptions based on which the results of actuarial valuation were determined are included in the Note 32 to the financial statements.

The company recognizes all actuarial gains and losses arising from the defined benefit plan and all expenses related to defined benefit plans in the income statement and actuarial gains and losses in the other comprehensive income.

This retirement benefit obligation is not externally funded.

However, according to the payment of Gratuity Act No. 12 of 1983, the liability for the gratuity payment to an employee arises only on the completion of 5 years of continued service with the company.

3.11.3 Short-term employee benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided.

3.12 Provisions

A provision is recognized in the statement of financial position when the company has a legal or constructive obligation as a result of a past event and it is probable that an outflow of economic benefits will be required to settle the obligation and the amount of the provision can be measured reliably in accordance with the Sri Lanka Accounting Standard - LKAS 37 on 'Provisions, Contingent Liabilities and Contingent Assets'.

The amount recognized is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligation at that date. Where a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is determined based on the present value of those cash flows.

3.13 Capital commitments and contingencies

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefits is not probable or cannot be reliably measured.

Capital commitment and contingent liabilities of the company are disclosed in the respective notes to the financial statements.

3.14 Events occurring after the reporting date

Events after the reporting period are those events, favorable and unfavorable, that occur between the reporting date and the date when the financial statements are authorized for issue.

In this regard, all material and important events that occurred after the reporting period have been considered and appropriate disclosures are made in the financial statements, where necessary.

3.15 Income statement

3.15.1 Revenue recognition

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the company and the revenue can be reliably measured. The following specific recognition criteria are ascertained before revenue is recognized.

3.15.1.1 Interest income and interest expense

Interest income and expense are recognized in the Income Statement using the effective interest rate (EIR) method.

As per SLFRS 9, the interest income and expense presented in the Income Statement include:

- Interest on financial assets measured at amortised cost calculated using EIR method;
- Interest on financial liabilities measured at amortised cost calculated using EIR method.

As per LKAS 39, the interest income and expense recognized in the Income Statement included:

- Interest on loans and receivables calculated using EIR method;
- Interest on financial liabilities measured at amortised cost calculated using EIR method.

Effective Interest Rate (EIR)

The EIR is the rate that exactly discounts the estimated future cash payments or receipts through the expected life of the financial instrument to:

- the gross carrying amount of the financial asset; or
- the amortised cost of the financial liability.

When calculating the EIR for financial instruments other than credit-impaired assets, the company estimates future cash flows considering all contractual terms of the financial instrument, but not expected credit losses (ECLs). For credit-impaired financial assets which are classified under Stage 3, a credit-adjusted EIR is calculated using the estimated future cash flows including ECLs. The credit-adjusted EIR is the interest rate that, at original recognition, discounts the estimated future cash flows (including credit losses) to the amortised cost.

The calculation of the EIR includes transaction costs and fees and points paid or received that are an integral part of the EIR.

For financial assets that were credit-impaired on initial recognition, interest income is calculated by applying the credit-adjusted EIR to the amortised cost of the asset. The calculation of interest income does not revert to a gross basis, even if the credit risk of the asset improves.

3.15.1.2 Dividend income

Dividend income is recognized when the company's right to receive the payment is established.

3.15.1.3 Fees and commission income and expense

Fees and commission income and expense that are integral to the EIR on a financial asset or liability are included in the measurement of the EIR. Other fees and commission income are recognized as the related services are performed.

3.15.1.4 Interest on overdue rentals

Overdue interest is charged on loans and advances which are not paid on the due date and accounted for on cash basis.

3.15.1.5 Profit or loss on disposal of property, plant and equipment

Profits or losses resulting from disposal of property, plant and equipment have been accounted for in the income statement.

3.15.1.6 Recovery of bad and doubtful debts written off

Recovery of amounts written off as bad and doubtful debts are recognized on a cash basis.

3.15.2 Expenditure

All expenditure incurred in running of the business and in maintaining the property, plant and equipment in a state of efficiency has been charged to revenue in arriving at the profit/(loss) for the year.

Expenditure incurred for the purpose of acquiring, expanding or improving the assets of a permanent nature by means of which to carry on the business or for the purpose of increasing the earning capacity of the business has been treated as capital expenditure.

Repairs and renewals are charged to revenue in the year in which the expenditure is incurred.

Minimum lease payments made under finance leases are apportioned between the finance expense and the reduction of the outstanding liability.

The finance expense is allocated to each period during the lease term so as to produce a constant periodic rate of interest on the remaining balance of the liability. Contingent lease payments are accounted for by revising the minimum lease payments over the remaining term of the lease when the lease adjustment is confirmed.

The profit earned by the company before taxation as shown in the Income Statement is after making provision for all known liabilities and for the depreciation of property, plant and equipment.

3.15.2.1 Borrowing costs

Borrowing costs that are directly attributable to the acquisition, construction or production of qualifying assets that take a substantial period of time to get ready for the intended use or sale, are capitalized as part of the asset.

Borrowing costs that are not directly attributable to the acquisition, construction or production of a qualifying asset are recognized in profit or loss using the effective interest method.

3.16 Taxes

3.16.1 Income tax expense

Income tax on the profit for the year comprises current and deferred tax. Income tax is recognized directly in the income statement except to the extent that it relates to items recognized directly in equity, in which case, it is recognized in equity.

Current taxes

Current tax assets and liabilities consist of amounts expected to be recovered from, or paid to the taxation authorities in respect of the current as well as prior years. The tax rates and tax laws used to compute the amounts are those that are enacted or substantially enacted by the reporting date. Accordingly, provision for taxation is made on the basis of the accounting profit for the year as adjusted for taxation purposes in accordance with the provisions of the Inland Revenue Act No. 24 of 2017 and the amendments thereto, at the rates specified in the Note 12 to the financial statements. This note also includes the major components of tax expense, the effective tax rates and a reconciliation between the profit before tax and tax expense as required by the Sri Lanka Accounting Standard - LKAS 12 on 'Income Taxes'.

Deferred tax

Deferred tax is provided on all temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the tax base of assets and liabilities, which is the amount attributed to those assets and liabilities for tax purposes. The amount of deferred tax provided is based on the expected manner of realization or settlement of the carrying amount of assets and liabilities, using tax rates enacted by the reporting date.

Deferred tax assets including those related to temporary tax effects of income tax losses and credits available to be carried forward, are recognized only to the extent that it is probable that future taxable profits will be available against which the asset can be utilized. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

3.16.2 Value Added Tax on financial services

VAT on financial services is calculated in accordance with the amended VAT Act No.07 of 2003. The base for the computation of VAT on financial services is the accounting profit before income tax is adjusted for the economic depreciation and emoluments of employees computed on prescribed rate.

3.16.3 Crop Insurance Levy (CIL)

As per the provisions of Section 14 of the Finance Act No. 12 of 2013, the CIL was introduced with effect from April 01, 2013 and is payable to the National Insurance Trust Fund. Currently, the CIL is payable at 1% of the profit after tax.

3.16.4 Social Security Contribution Levy(SSCL)

Social Security Contribution Levy (SSCL) was imposed with effect from October 01, 2022, at the rate of 2.5% by the Social Security Contribution Levy Act, No. 25 of 2022 (SSCL Act).

3.17 Earnings per share

The financial statements present basic earnings per share (EPS) for its ordinary shareholders. The basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding, for the effects of all dilutive potential ordinary shares.

3.18 Cash flow statement

The cash flow statement has been prepared using the “indirect method”. Interest paid is classified as operating cash flows, interest and dividend received are classified as investing cash flows while dividends paid are classified as financing cash flows for the purpose of presenting of the cash flow statement.

3.19 Regulatory provisions

3.19.1 Deposit insurance scheme

In terms of the Finance Companies Direction No 02 of 2010 “Insurance of Deposit Liabilities” issued on 27th September 2010, all registered finance companies are required to insure their deposit liabilities in the deposit insurance scheme operated by the Monetary Board in terms of Sri Lanka Deposit Insurance Scheme Regulations No 01 of 2010, issued under Sections 32A to 32E of the Monetary Law Act with effect from 01st October 2010. Deposits to be insured include demand, time and savings deposit liabilities and exclude the following.

- Deposit liabilities to member institutions
- Deposit liabilities to Government of Sri Lanka
- Deposit liabilities to shareholders, directors, key management personnel and other related parties as defined in Finance Companies Act Direction No 03 of 2008 on Corporate Governance of registered finance companies
- Deposit liabilities held as collateral against any accommodation granted
- Deposit liabilities falling within the meaning of dormant deposits in terms of the Finance Companies Act, funds of which have been transferred to the Central Bank of Sri Lanka

Registered finance companies are required to pay a premium of 0.15% on eligible deposit liabilities as at the end of the month to be payable within a period of 15 days from the end of the respective month.

3.20 Reserves

3.20.1 Statutory reserve fund

The statutory reserve fund is maintained in terms of a licensed finance company (Capital Funds) direction No.01 of 2003. Accordingly, the Company should transfer funds out of net profits of each year in the following manner, after due provision has been made for taxation and bad and doubtful debts.

- If capital funds are not less than twenty five percent of total deposit liabilities, a sum equal to not less than five percent of the net profits
- If capital funds are less than twenty five percent of total deposit liabilities but not less than ten percent thereof, a sum equal to not less than twenty percent of the net profits
- If capital funds are less than ten percent of total deposit liabilities, a sum equal to not less than fifty percent of the net profits

3.20.2 Fair value / Available for sale reserve

This has been created in order to account the fair value changes of financial assets at Fair Value Through Other Comprehensive Income / Available for sale financial assets.

SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

3.21 Segment reporting

An operating segment is a component of the company that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the company's other components, whose operating results are reviewed regularly by the company's management to make decisions about resources allocated to each segment and assess its performance, and for which discrete financial information is available.

For each of the strategic divisions, the company's management monitors the operating results separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profits or losses which, in certain respects, are measured differently from operating profits or losses in the financial statements. Income taxes are managed on a company basis and are not allocated to operating segments.

For the year ended 31st March

	2023 Rs.	2022 Rs.
4. INCOME		
Interest income (Note 5)	3,593,058,853	2,709,169,183
Fee and commission income (Note 7)	105,891,972	102,104,674
Other operating income (Note 8)	121,276,568	160,935,000
	<u>3,820,227,393</u>	<u>2,972,208,857</u>
5. INTEREST INCOME		
Finance lease	1,965,886,663	1,946,303,708
Hire purchase	9,825	238,419
Factoring	4,315,133	3,927,144
Loans	142,672,558	151,428,161
Gold loans	1,261,763,310	538,264,885
Interest income on investments	218,411,364	69,006,866
	<u>3,593,058,853</u>	<u>2,709,169,183</u>
6. INTEREST EXPENSES		
Interest expense on		
Borrowings	775,977,182	303,636,490
Customer deposits	1,677,376,263	802,696,954
Negotiable instruments	2,465,304	2,438,716
Overdraft interest	117,701,071	27,040,350
Interest expense on lease liabilities - Right-of-use asset	26,502,775	23,654,411
	<u>2,600,022,595</u>	<u>1,159,466,921</u>
7. FEE AND COMMISSION INCOME		
Documentation income - Lease and hire purchases	25,598,880	64,879,926
Administration charges - Factoring	717,197	2,062,165
Charges on recovery follow up	41,953,688	-
Insurance commission	37,622,207	35,162,583
	<u>105,891,972</u>	<u>102,104,674</u>
8. OTHER OPERATING INCOME		
Collections from written off contracts	44,349,645	81,498,103
Profit on disposal of property, plant and equipment	1,017	483,465
Rent income	11,435,732	10,788,000
Fair value gain on investment properties	41,250,002	10,650,000
Dividend income	1,810,933	4,074,362
Insurance claim on Gampaha Branch robbery (Note 8.1)	-	52,657,637
Sundry income	22,429,239	783,433
	<u>121,276,568</u>	<u>160,935,000</u>

- 8.1** The company has made a provision of Rs,58,236,918/- in financial year 2020/2021 for loss on the robbery. An insurance claim of Rs. 52,657,637/- was received in the previous year for the same.

For the year ended 31st March

For the year ended 31st March		2023 Rs.	2022 Rs.
9.	IMPAIRMENT CHARGES/(REVERSALS) FOR LOANS AND RECEIVABLES TO CUSTOMERS		
	Finance lease receivable		
	Stage 01	(64,100,479)	(158,329,134)
	Stage 02	(2,955,045)	(21,462,524)
	Stage 03	134,930,062	241,017,878
		<u>67,874,538</u>	<u>61,226,220</u>
	Hire purchase receivable		
	Stage 01	-	-
	Stage 02	-	-
	Stage 03	459,384	(4,180,994)
		<u>459,384</u>	<u>(4,180,994)</u>
	Other loans receivable		
	Stage 01	(2,140,236)	(3,299,063)
	Stage 02	7,253,782	(662,533)
	Stage 03	25,499,747	73,785,946
		<u>30,613,293</u>	<u>69,824,350</u>
	Factoring receivable		
	Stage 01	(1,180)	(4,415,440)
	Stage 02	1,903,464	-
	Stage 03	4,428,775	12,190,605
		<u>6,331,059</u>	<u>7,775,165</u>
	Gold loans receivable		
	Stage 01	1,107,436	-
	Stage 02	394,178	-
	Stage 03	(5,342,593)	(11,268,881)
		<u>(3,840,979)</u>	<u>(11,268,881)</u>
	Alternative finance		
	Stage 01	422,824	1,163,965
	Stage 02	-	-
	Stage 03	1,163,672	-
		<u>1,586,496</u>	<u>1,163,965</u>
	Total impairment charge	<u>103,023,791</u>	<u>124,539,825</u>
10.	PERSONNEL EXPENSES		
	Salaries and other related expenses	551,366,676	545,256,674
	Defined contribution plan - EPF	43,864,374	40,456,703
	- ETF	10,966,094	10,114,176
	Defined benefit plan - Gratuity	14,355,236	9,182,059
		<u>620,552,380</u>	<u>605,009,612</u>
11.	OTHER OPERATING EXPENSES		
	Directors' emoluments	9,672,400	7,500,000
	Auditor's remuneration	1,841,209	1,783,694
	Professional and legal fees	41,394,684	49,851,353
	Charity and donations	30,000	401,000
	Administration and establishment expenses	264,226,948	225,389,088
	Advertising and business promotional expenses	26,509,457	69,065,210
	Property, plant and equipment written off	-	3,197,024
	Impairment provision on real estate receivable	-	16,277,733
	Other expenses	58,043,046	25,732,818
		<u>401,717,744</u>	<u>399,197,920</u>

For the year ended 31st March

	2023 Rs.	2022 Rs.
12. INCOME TAX EXPENSE		
Current tax		
On current year profits (Note 12.1)	-	-
Deferred tax		
Deferred tax charged to the income statement (Note 22)	2,479,940	-
Income tax expense for the year	2,479,940	-
12.1 Reconciliation between accounting profit and taxable income		
Profit/(loss) before income tax expense	(69,565,672)	452,997,166
Adjustments on disallowable expenses	4,001,798,065	3,268,373,980
Adjustments on allowable expenses	(3,834,263,762)	(2,607,286,319)
Statutory income	97,968,631	1,114,084,827
Less: Tax loss claimed on leasing business (Note 12.2)	-	(1,099,222,464)
Tax loss claimed on non-leasing business (Note 12.2)	-	(14,862,362)
Assessable income	97,968,631	-
Less: Utilization of qualifying payments (Note 12.3)	(97,968,631)	-
Taxable profit for the year	-	-
Effective tax rate	30%	24%
12.2 Tax losses		
Tax losses brought forward	1,895,178,283	3,009,263,109
Tax losses incurred during the year	-	-
Tax losses claimed during the year	-	(1,114,084,826)
Tax losses carried forward	1,895,178,283	1,895,178,283
12.3 Qualifying payment on investment		
Consideration paid to acquire former Orient Finance PLC	1,730,906,250	1,730,906,250
Less : Utilized in prior years	(343,905,209)	(343,905,209)
Less : Utilized during the year	(97,968,631)	-
Balance qualifying payment carried forward	1,289,032,410	1,387,001,041

12.4 Current tax

With the enactment of the Inland Revenue (Amendment) Act No. 45 of 2022 income tax rate was revised from 24% to 30% effective from 01st October 2022 for the year of assessment 2022/2023. Accordingly, income tax rate of 30% was applied on the taxable income of the company for the 2nd half of the financial year ended 31st March 2023.

13 EARNINGS PER SHARE

13.1 Basic earnings per share

The calculation of earnings per share is based on the profit/(loss) attributable to the ordinary shareholders for the year divided by the weighted average number of ordinary shares outstanding during the year.

For the year ended 31st March

	2023 Rs.	2022 Rs.
Profit/(loss) attributable to ordinary shareholders (Rs.)	(72,045,612)	452,997,166
Weighted average number of ordinary shares	211,101,155	211,101,155
Earnings per share (Rs.)	(0.34)	2.15
Weighted average number of ordinary shares	211,101,155	211,101,155

14. DIVIDEND PER SHARE

The dividend per share is based on the dividend paid during the year and the number of ordinary shares outstanding as at that date.

For the year ended 31st March

	2023 Rs.	2022 Rs.
Dividend paid (Rs)	-	-
Dividend per share (Rs.)	-	-

15. FINANCIAL ASSETS AND LIABILITIES

15.1 Classification as at 31 March 2023

	Financial assets at fair value through other comprehensive income (FVTOCI) Rs.	Financial assets at amortized cost Rs.	Total carrying amount Rs.
Financial assets			
Cash and cash equivalents	-	307,893,891	307,893,891
Investment in government securities, quoted and unquoted shares	1,262,913,731	-	1,262,913,731
Loans and receivables to customers	-	12,941,011,251	12,941,011,251
Investments with banks and other financial institutions	-	236,013,310	236,013,310
Total financial assets	1,262,913,731	13,484,918,452	14,747,832,183

	Financial liabilities at amortized cost Rs.	Total carrying amount Rs.
Financial liabilities		
Bank overdrafts	240,846,238	240,846,238
Deposits from customers	10,759,498,577	10,759,498,577
Interest bearing borrowings	2,606,632,095	2,606,632,095
Total financial liabilities	13,606,976,910	13,606,976,910

15.2 Classification as at 31 March 2022

	Financial assets at fair value through other comprehensive income (FVTOCI) Rs.	Financial assets at amortized cost Rs.	Total carrying amount Rs.
Financial assets			
Cash and cash equivalents	-	296,439,735	296,439,735
Investment in government securities, quoted and unquoted shares	725,704,749	-	725,704,749
Loans and receivables to customers	-	14,125,811,999	14,125,811,999
Investments with banks and other financial institutions	-	242,460,738	242,460,738
Total financial assets	725,704,749	14,664,712,472	15,390,417,221

	Financial liabilities at amortized cost Rs.	Total carrying amount Rs.
Financial liabilities		
Bank overdrafts	680,571,641	680,571,641
Deposits from customers	9,204,263,013	9,204,263,013
Interest bearing borrowings	3,874,859,251	3,874,859,251
Total financial liabilities	13,759,693,905	13,759,693,905

As at 31st March

	2023 Rs.	2022 Rs.
16. CASH AND CASH EQUIVALENTS		
Cash in hand	222,627,839	230,339,894
Cash at bank	85,266,052	66,099,841
	307,893,891	296,439,735
Bank overdrafts	(240,846,238)	(680,571,641)
Cash and cash equivalents for the purpose of cash flow statement	67,047,653	(384,131,906)

17. FINANCIAL ASSETS - FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

Investments in government securities (Note 17.1)	1,251,863,131	675,932,843
Investments in unquoted shares (Note 17.2)	230,600	230,600
Investments in quoted shares (Note 17.3)	10,820,000	49,541,306
	1,262,913,731	725,704,749

17.1 Investments in government securities

Treasury bills	1,251,863,131	675,932,843
	1,251,863,131	675,932,843

17.2 Investments in unquoted shares

	Directors' Valuation Rs.	Directors' Valuation Rs.
Finance House Consortium (Private) Limited	200,000	200,000
Credit Information Bureau of Sri Lanka	30,600	30,600
	230,600	230,600

The Directors' valuation of non-quoted securities based on cost of investment less impairment amounts to Rs. 230,600/- (2022 - Rs. 230,600/-).

	No of shares	Cost Rs.	Fair value Rs.
17.3 Investment in quoted shares			
Tokyo Cement Company (Lanka) PLC	60,000	5,241,000	3,000,000
Hayleys PLC	60,000	4,720,800	4,320,000
John Keells Holdings PLC	25,000	4,375,000	3,500,000
		14,336,800	10,820,000
As at 31st March		2023 Rs.	2022 Rs.

18. LOANS AND RECEIVABLES TO CUSTOMERS

Loans and receivables	17,371,880,141	18,771,391,574
Less: Unearned income	(3,391,348,713)	(3,709,083,189)
Net loans and receivables	13,980,531,428	15,062,308,385
Less: Impairment for expected credit losses (Note 18.1.10)	(1,039,520,177)	(936,496,386)
Net loans and receivables	12,941,011,251	14,125,811,999

As at 31st March

18. LOANS AND RECEIVABLES TO CUSTOMERS (CONTD....)

18.1 Product wise analysis of net loans and receivables

18.1.1 Finance lease receivables

	2023 Rs.	2022 Rs.
Gross lease rentals receivable	11,180,900,866	13,345,266,579
Less: Unearned income	(3,106,175,174)	(3,490,937,360)
Net lease rentals receivable	8,074,725,692	9,854,329,219
Less: Impairment for expected credit losses (Note 18.1.10)	(744,960,098)	(677,085,560)
Net finance lease receivable	7,329,765,594	9,177,243,659

Lease rentals receivable within one year

Gross lease rentals receivable within one year	4,452,952,964	5,048,172,855
Less: Unearned income	(1,381,003,598)	(2,219,884,704)
Net lease rentals receivable within one year	3,071,949,366	2,828,288,151
Less: Impairment for expected credit losses	(283,412,686)	(256,111,704)
Net finance lease receivable within one year	2,788,536,680	2,572,176,447

Lease rentals receivables within one to five years

Gross lease rentals receivable within one to five years	6,666,835,625	8,287,904,447
Less: Unearned income	(1,709,530,179)	(1,270,592,687)
Net lease rentals receivable within one to five years	4,957,305,446	7,017,311,760
Less: Impairment for expected credit losses	(457,352,348)	(420,973,856)
Net finance lease receivable within one to five years	4,499,953,098	6,596,337,904

Lease rentals receivable later than five years

Gross lease rentals receivable later than five years	61,112,277	9,189,277
Less: Unearned income	(15,641,397)	(459,969)
Net lease rentals receivable later than five years	45,470,880	8,729,308
Less: Impairment for expected credit losses	(4,195,064)	-
Net finance lease receivable later than five years	41,275,816	8,729,308

Total

7,329,765,594 9,177,243,659

18.1.2 Hire purchase receivable

Gross hire purchase rentals receivable	29,171,581	28,711,768
Less: Unearned income	-	-
Net hire purchase rentals receivable	29,171,581	28,711,768
Less: Impairment for expected credit losses (Note 18.1.10)	(8,042,454)	(7,583,070)
Net hire purchase receivable	21,129,127	21,128,698

Hire purchase rentals receivable within one year

Gross hire purchase rentals receivable within one year	29,171,581	28,711,768
Less: Unearned income	-	-
Net hire purchase rentals receivable within one year	29,171,581	28,711,768
Less: Impairment for expected credit losses	(8,042,454)	(7,583,070)
Hire purchase rentals receivable within one year	21,129,127	21,128,698

As at 31st March

	2023 Rs.	2022 Rs.
18. LOANS AND RECEIVABLES TO CUSTOMERS (CONTD....)		
18.1 Product wise analysis of net loans and receivables (Contd....)		
18.1.3 Other loans receivable		
Gross other loans rentals receivable	878,575,878	1,284,744,154
Less: Unearned income	(65,978,272)	(112,189,266)
Net other loans rentals receivable	812,597,606	1,172,554,888
Less: Impairment for expected credit losses (Note 18.1.10)	(202,563,196)	(171,949,903)
Net other loans receivable	610,034,410	1,000,604,985
Other loans receivable within one year		
Gross other loans rentals receivable within one year	684,201,072	794,935,444
Less: Unearned income	(31,408,768)	(71,320,140)
Net other loans rentals receivable within one year	652,792,304	723,615,304
Less: Impairment for expected credit losses	(162,711,010)	(65,044,248)
Net other loans receivables within one year	490,081,294	658,571,056
Other loans receivable within one to five years		
Gross other loans rentals receivable within one to five years	194,374,806	489,808,710
Less: Unearned income	(34,569,504)	(40,869,126)
Net other loans rentals receivable within one to five years	159,805,302	448,939,584
Less: Impairment for expected credit losses	(39,852,186)	(106,905,655)
Net other loans receivables within one to five years	119,953,116	342,033,929
Total	610,034,410	1,000,604,985
18.1.4 Factoring receivable		
Factoring receivable	93,540,396	95,011,647
Less: Impairment for expected credit losses (Note 18.1.10)	(79,299,273)	(72,968,214)
Net factoring receivable	14,241,123	22,043,433
18.1.5 Pawning receivable		
Pawning receivable	4,486,457,603	3,579,458,664
Less: Impairment for expected credit losses (Note 18.1.10)	(1,904,695)	(5,745,674)
Net pawning receivable	4,484,552,908	3,573,712,990

As at 31st March

18. LOANS AND RECEIVABLES TO CUSTOMERS (CONTD....)

18.1.6 Alternative finance receivable

	2023 Rs.	2022 Rs.
Gross Alternative finance receivable	703,233,817	438,198,761
Less: Unearned income	(219,195,267)	(105,956,563)
Net Alternative finance receivable	484,038,550	332,242,198
Less: Impairment for expected credit losses (Note 18.1.10)	(2,750,461)	(1,163,965)
Net Alternative finance receivable	481,288,089	331,078,233

Alternative finance receivables within one year

Gross Alternative finance receivable within one year	338,224,544	165,759,378
Less: Unearned income	(100,295,265)	(67,377,707)
Net Alternative finance receivable within one year	237,929,279	98,381,671
Less: Impairment for expected credit losses	(1,351,990)	(440,298)
Net Alternative finance receivable within one year	236,577,289	97,941,373

Alternative finance receivables within one to five years

Gross Alternative finance receivable within one to five years	365,009,273	272,153,831
Less: Unearned income	(118,900,002)	(38,564,895)
Net Alternative finance receivable within one to five years	246,109,271	233,588,936
Less: Impairment for expected credit losses	(1,398,471)	(722,908)
Net Alternative finance receivable within one to five years	244,710,800	232,866,028

Alternative finance receivables after five years

Gross Alternative finance receivable after five years	-	285,552
Less: Unearned income	-	(13,961)
Net Alternative finance receivable after five years	-	271,591
Less: Impairment for expected credit losses	-	(759)
Net Alternative finance receivable after five years	-	270,832

Total	481,288,089	331,078,233
--------------	--------------------	--------------------

18 LOANS AND RECEIVABLES TO CUSTOMERS (CONTD....)

18.1.7 Product wise analysis of net loans and receivables

	As at 31 March 2023			As at 31 March 2022		
	Gross Receivables	ECL Allowance	Net Receivables	Gross Receivables	ECL Allowance	Net Receivables
Finance lease receivable (Note 18.1.1)						
Stage 01	5,642,840,576	(155,890,647)	5,486,949,929	6,249,976,103	(219,991,126)	6,029,984,977
Stage 02	1,485,821,160	(185,659,630)	1,300,161,530	1,308,507,145	(188,614,675)	1,119,892,470
Stage 03	946,063,956	(403,409,821)	542,654,135	2,295,845,971	(268,479,759)	2,027,366,212
	<u>8,074,725,692</u>	<u>(744,960,098)</u>	<u>7,329,765,594</u>	<u>9,854,329,219</u>	<u>(677,085,560)</u>	<u>9,177,243,659</u>
Hire purchase receivable (Note 18.1.2)						
Stage 01	-	-	-	-	-	-
Stage 02	-	-	-	-	-	-
Stage 03	29,171,581	(8,042,454)	21,129,127	28,711,768	(7,583,070)	21,128,698
	<u>29,171,581</u>	<u>(8,042,454)</u>	<u>21,129,127</u>	<u>28,711,768</u>	<u>(7,583,070)</u>	<u>21,128,698</u>
Other loans receivable (Note 18.1.3)						
Stage 01	458,111,090	(4,562,069)	453,549,021	639,443,397	(6,702,305)	632,741,092
Stage 02	84,313,877	(13,746,828)	70,567,049	37,441,144	(6,493,046)	30,948,098
Stage 03	270,172,639	(184,254,299)	85,918,340	495,670,347	(158,754,552)	336,915,795
	<u>812,597,606</u>	<u>(202,563,196)</u>	<u>610,034,410</u>	<u>1,172,554,888</u>	<u>(171,949,903)</u>	<u>1,000,604,985</u>
Factoring receivable (Note 18.1.4)						
Stage 01	-	-	-	3,850,864	(1,180)	3,849,684
Stage 02	2,291,354	(1,903,464)	387,890	-	-	-
Stage 03	91,249,042	(77,395,809)	13,853,233	91,160,783	(72,967,034)	18,193,749
	<u>93,540,396</u>	<u>(79,299,273)</u>	<u>14,241,123</u>	<u>95,011,647</u>	<u>(72,968,214)</u>	<u>22,043,433</u>
Pawning receivable (Note 18.1.5)						
Stage 01	3,930,281,884	(1,107,436)	3,929,174,448	1,968,122,046	-	1,968,122,046
Stage 02	480,281,584	(394,178)	479,887,406	1,517,363,536	-	1,517,363,536
Stage 03	75,894,135	(403,081)	75,491,054	93,973,082	(5,745,674)	88,227,408
	<u>4,486,457,603</u>	<u>(1,904,695)</u>	<u>4,484,552,908</u>	<u>3,579,458,664</u>	<u>(5,745,674)</u>	<u>3,573,712,990</u>
Alternative finance receivable (Note 18.1.6)						
Stage 01	474,220,191	(1,586,789)	472,633,402	49,003,834	(1,163,965)	47,839,869
Stage 02	-	-	-	-	-	-
Stage 03	9,818,359	(1,163,672)	8,654,687	283,238,364	-	283,238,364
	<u>484,038,550</u>	<u>(2,750,461)</u>	<u>481,288,089</u>	<u>332,242,198</u>	<u>(1,163,965)</u>	<u>331,078,233</u>
Total	<u>13,980,531,428</u>	<u>(1,039,520,177)</u>	<u>12,941,011,251</u>	<u>15,062,308,384</u>	<u>(936,496,386)</u>	<u>14,125,811,998</u>

18 LOANS AND RECEIVABLES TO CUSTOMERS (CONTD...)

18.1.8 Movement in impairment charges during the year

	Finance lease Rs.	Hire purchase Rs.	Loans and others Rs.	Factoring Rs.	Alternative finance Rs.	Pawning Rs.	Total Rs.
Balance as at 01st April 2022	677,085,560	7,583,070	171,949,903	72,968,214	1,163,965	5,745,674	936,496,386
Charges for the year	67,874,538	459,384	30,613,293	6,331,059	1,586,496	(3,840,979)	103,023,791
Balance as at 31st March 2023	<u>744,960,098</u>	<u>8,042,454</u>	<u>202,563,196</u>	<u>79,299,273</u>	<u>2,750,461</u>	<u>1,904,695</u>	<u>1,039,520,177</u>

18.1.9 Movement in specific and collective impairment charges for the year ended 31st March 2022

	Finance lease Rs.	Hire purchase Rs.	Loans and others Rs.	Factoring Rs.	Alternative finance Rs.	Pawning Rs.	Total Rs.
Balance as at 01st April 2021	745,726,332	11,764,064	201,009,639	66,648,310	-	17,014,555	1,042,162,900
Charge for the year	61,226,220	(4,180,994)	69,824,350	7,775,165	1,163,965	(11,268,881)	124,539,825
Written off during the year	(254,342,676)	-	(105,415,908)	(1,455,261)	-	-	(361,213,845)
Legal interest capitalized	124,475,684	-	6,531,822	-	-	-	131,007,506
Balance as at 31st March 2022	<u>677,085,560</u>	<u>7,583,070</u>	<u>171,949,903</u>	<u>72,968,214</u>	<u>1,163,965</u>	<u>5,745,674</u>	<u>936,496,386</u>

18.1.10 Impairment for Expected Credit Losses (Stage Composition) as at 31 March 2023

	Finance lease Rs.	Hire purchase Rs.	Loans and others Rs.	Factoring Rs.	Alternative finance Rs.	Pawning Rs.	Total Rs.
Stage 01 ECL	155,890,647	-	4,562,069	-	1,586,789	1,107,436	163,146,941
Stage 02 ECL	185,659,630	-	13,746,828	1,903,464	-	394,178	201,704,100
Stage 03 ECL	403,409,821	8,042,454	184,254,299	77,395,809	1,163,672	403,081	674,669,136
	<u>744,960,098</u>	<u>8,042,454</u>	<u>202,563,196</u>	<u>79,299,273</u>	<u>2,750,461</u>	<u>1,904,695</u>	<u>1,039,520,177</u>

As at 31st March

2023 Rs.	2022 Rs.
-------------	-------------

19. INVESTMENT WITH BANKS AND OTHER FINANCIAL INSTITUTIONS

Investments in fixed deposits	236,013,310	242,460,738
	<u>236,013,310</u>	<u>242,460,738</u>

20. OTHER ASSETS

Advances paid	15,001,334	10,022,684
Insurance commissions receivable	9,142,198	4,975,189
ESC and WHT recoverable	99,849,272	99,448,422
Deposits and prepayments	533,447,994	140,965,659
	<u>657,440,798</u>	<u>255,411,954</u>

As at 31st March

	2023 Rs.	2022 Rs.
21. REAL ESTATE STOCK		
Naranwala project	1,767,497	1,767,497
Kiriberiya project	2,887,113	2,887,113
Matale project	12,734,205	18,808,826
Maddawaththa project	865,459	865,459
Chillaw project	1,793,927	1,793,927
Dambulla project	7,393,146	-
Fall in fair value of real estate stock	(16,784,729)	(16,784,729)
	<u>10,656,618</u>	<u>9,338,093</u>

22. DEFERRED TAX ASSET

Balance at the beginning of the year	371,600,809	370,832,054
Deferred tax effect on actuarial gain on retirement benefits obligation	456,564	768,755
Reversal for the year	(2,479,940)	-
Balance at the end of the year	<u>369,577,434</u>	<u>371,600,809</u>

22.1 Deferred tax assets

The amounts recognized as deferred tax assets are as follows:

Property, plant and equipment and intangible assets	(55,153,119)	(49,372,807)
Right-of-use assets	(15,170,957)	(9,320,618)
Retirement benefits obligation	16,191,190	10,584,955
Tax losses carried forward	-	-
Qualifying payment on purchase consideration of amalgamation	333,606,467	325,203,558
Unclaimed impairment provision	90,103,853	94,505,721
	<u>369,577,434</u>	<u>371,600,809</u>

Deferred tax assets and liabilities as at 31st March 2023 were assessed based on the revised income tax rate of 30% (2022- 24%) which was effective from 01st October 2022.

As of 31st March 2023, the company has carried forward a tax loss amounting to Rs. 1,895,178,283/- (2022 - Rs. 1,895,178,283/-) which is available for offsetting against the future taxable income of the company for a maximum period of six (06) years. However, the company has recognized deferred tax asset on unused tax losses only up to the deferred tax liability as 31st March 2023. Accordingly, deferred tax asset of Rs. Nil (Rs. 568,553,485/-) has been recognized from the tax losses carried forward amounting to Rs. Nil (2022 - Rs. nil/-).

In addition to that, the company has qualifying payment on purchase consideration of amalgamation amounting to Rs. 1,289,032,411/- (2022 - Rs. 1,387,001,041/-) which is qualifying to utilize as tax credits against the future taxable income of the company. However, the company has recognized deferred tax assets on unused qualifying payment only up to the deferred tax liability as at 31st March 2023. Accordingly, deferred tax asset of Rs. 333,606,467/- (Rs. 386,709,723/-) has been recognized from the qualifying payment amounting to Rs. 1,112,021,558/- (2022 - Rs. 1,387,001,041/-).

23. GOODWILL ON ACQUISITION

There was a premium amounting to Rs. 800,425,746/- on the amalgamation of former Orient Finance PLC with former Bartleet Finance PLC during the quarter ended 30th June 2015 which has been computed as follows:

	Rs.
Total consideration paid	1,730,906,250
Total identifiable net assets	930,480,504
Total premium	<u>800,425,746</u>

23.1 Brand value

Out of the total premium on the acquisition of former Orient Finance PLC, Rs. 235,880,000/- was attributed as Brand Value of former Orient Finance PLC based on a valuation carried out by an independent professional valuer.

Valuation methodology and principal assumptions used for the brand valuation

"Income approach" has been considered for the valuation of the brand by the independent professional valuer and the following principal assumptions were used.

- Implied royalty rate - 1.68%
- Cost of equity - 16.54% (risk free rate - 11.04% + equity risk premium - 5% + alpha 5%)
- Terminal growth rate - 3%
- Terminal multiplier 5.77

To determine appropriate royalty rates for the trade names, the Independent professional valuer has considered royalty rates available in the international markets for banking and finance related brands/trade marks.

23. GOODWILL ON ACQUISITION (CONTD....)

23.2 Goodwill

Pursuant to recognition of brand value as described in note 23.1 above, the remainder of the premium on acquisition amounting to Rs. 564,545,746/- has been recognized as the goodwill on acquisition.

23.3 Impairment

The management has assessed to ascertain whether there could be any impairment on the brand value and/or goodwill. A separate assessment of value in use of brand value and goodwill is not practicable as the future cash flows attached to the cash generating unit pertaining to pre-acquisition of Orient Finance PLC due to the following reasons:

- (a) Departments of the two entities have been merged post amalgamation.
- (b) Certain employees resigned and the remaining employees took over the responsibilities of the areas of the employees who left.

Consequently, the management has taken the approach of assessing impairment on a combined approach of both the brand value and the goodwill. For this purpose, the management assessed the recoverable amount of goodwill and brand based on value in use taking into consideration the future estimated cash flows to equity.

Management determined forecast operating results based on past performance and expectations for the future. The pre-tax discount rate used is 22% and the growth rate used to extrapolate cash flow projections beyond five years is 5% per annum. Value in Use (VIU) is computed based on these data and assumptions support the carrying value of goodwill.

The summary of assessments is as follows:

	Rs.
Value in use as per management's assessment	7,244,464,855
Carrying value of brand value and goodwill	800,425,746
Carrying value of tangible assets	2,480,580,420
Total carrying value (net assets)	<u>3,281,006,166</u>

Since the carrying value is less than the value in use, the management concluded that there was no impairment of brand value and goodwill taken together as at 31st March 2023.

24. OTHER INTANGIBLE ASSETS

As at 31st March	2023 Rs.	2022 Rs.
Computer software		
Cost		
Balance at the beginning of the year	62,710,601	62,710,601
Balance at the end of the year	<u>62,710,601</u>	<u>62,710,601</u>
Accumulated amortization		
Balance at the beginning of the year	24,810,666	12,046,481
Amortized during the year	12,801,990	12,764,185
Balance at the end of the year	<u>37,612,656</u>	<u>24,810,666</u>
Carrying amount as at 31st March	<u>25,097,945</u>	<u>37,899,935</u>

25. PROPERTY, PLANT AND EQUIPMENT

Cost	Furniture and fittings Rs.	Office equipment Rs.	Computer equipment Rs.	Motor vehicles Rs.	Total Rs.
Balance as at the beginning of the year	73,471,385	92,624,238	151,595,853	616,392	318,307,868
Additions during the year	18,568,225	19,285,728	12,673,411	-	50,527,364
Disposals during the year	-	-	(168,500)	-	(168,500)
Balance as at the end of the year	92,039,610	111,909,966	164,100,764	616,392	368,666,732
Accumulated depreciation					-
Balance as at the beginning of the year	41,484,757	54,696,406	137,198,055	422,845	233,802,063
Charge for the year	21,802,477	21,882,311	20,422,632	80,000	64,187,420
On disposals	-	-	(56,167)	-	(56,167)
Balance as at the end of the year	63,287,234	76,578,717	157,564,520	502,845	297,933,316
Carrying amount as at 31st March 2023	28,752,376	35,331,249	6,536,244	113,547	70,733,416
Carrying amount as at 31st March 2022	31,986,628	37,927,832	14,397,798	193,547	84,505,805

25.1 Property, plant and equipment included fully depreciated assets having a gross amount of Rs.98,511,154/- as at 31st March 2023. (31st March 2022- Rs.78,547,576/-).

25.2 There were no capitalized borrowing costs related to the acquisition of property, plant and equipment during the year (2021/2022 -nil).

25.3 There were no restrictions on the title of the property, plant and equipment as at 31st March 2023.

25.4 There were no items of property, plant and equipment pledged as security as at 31st March 2023.

25.5 There were no temporary idle items of property, plant and equipment as at 31st March 2023.

As at 31st March

	2023 Rs.	2022 Rs.
26. RIGHT-OF-USE-ASSETS		
Cost		
Balance at the beginning of the year	212,863,813	190,558,576
Additions made during the year	22,172,486	22,305,237
Balance at the end of the year	235,036,299	212,863,813
Accumulated amortization		
Balance at the beginning of the year	97,367,739	61,390,756
Charge for the year	40,875,878	35,976,983
Balance at the end of the year	138,243,617	97,367,739
	96,792,682	115,496,074
27. INVESTMENT PROPERTIES		
Balance at the beginning of the year	662,150,002	628,000,002
Additions during the year	8,566,463	23,500,000
Disposal during the year	(21,500,000)	-
Fair value gain on investment properties	41,100,000	10,650,000
Balance at the end of the year	690,316,465	662,150,002

27.1 The details of lands and buildings

Location and address	Method of Valuation	No of Buildings	Building Area (Sq.Ft)	Land Extent (Perches)	Fair Value as at 31st March 2023 (Rs.)	Fair Value as at 31st March 2022 (Rs.)
38, Station Road, Matara	Market Approach	1	9,400	37.8	140,000,000	138,000,000
197/4, Galle Road, Kalutara	Market Approach	1	36,141	39.87	298,500,000	286,600,000
Eluwila, Panadura	Market Approach	-	-	A1-R3-P22	83,750,000	83,000,000
3rd Lane, Pubudu Kreedangana	Market Approach	1	2,623	R1-P11	62,000,000	47,175,000
Mawatha, Halbarawa, Malambe						
Homagama, Kuruduwatthe Wala	Market Approach	-	-	1A-R0-P32	44,500,000	39,500,000
Kumbure Peellewa						
Katupotha, Dambulla	Market Approach	-	-	R1-P32.62	27,000,000	22,875,000
No.5675, Naigalawatta,						
Ibbankatuwa, Dambulla	Market Approach	-	-	1A-2R 32.4 P	26,000,000	23,500,000
Kaluwarippuwa, Katana	Market Approach	-	-	A01.R1.P32	-	21,500,000
Beligahawatta, Gunasekara						
Mawatha, Habaraduwa	Market Approach	1	2,400	R1-P6.5	8,566,465	-
Total					690,316,465	662,150,000

27.2 The amounts recognized in profit or loss for rental income from investment properties and direct operating expenses arising from investment properties are as follows:

Location and address	No.of Buildings	Rental income from investment properties (Rs.)	Direct operating expense (Rs.)
38, Station Road, Matara	1	807,866	925,480
197/4, Galle Road, Kalutara	1	10,453,866	890,785

	2023 Rs.	2022 Rs.
28. DEPOSITS FROM CUSTOMERS		
Fixed deposits (Note 28.1)	10,700,736,645	9,150,223,285
Savings deposits	58,761,932	54,039,728
	10,759,498,577	9,204,263,013

	2023 Rs.	2022 Rs.
28. DEPOSITS FROM CUSTOMERS (CONTD....)		
28.1 Public deposits	10,118,124,621	8,907,555,919
Interest accrued	582,612,024	242,667,366
Public deposits at amortized cost	10,700,736,645	9,150,223,285

28.2 Rs.9,180,459,612/- (2021/2022-Rs.8,086,667,075/-) of deposits from customers are expected to mature within a 12 month period from the reporting date, 31st March 2023.

	2023 Rs.	2022 Rs.
29. INTEREST BEARING BORROWINGS		
Institutional borrowings (Note 29.1)	2,606,632,095	3,773,455,991
Commercial Papers	-	101,403,260
	2,606,632,095	3,874,859,251

29.1 Movement in institutional borrowings

Balance at the beginning of the year	3,736,488,798	2,568,850,933
Obtained during the year	682,934,628	6,865,119,911
Payments made during the year	(1,826,049,192)	(5,697,482,046)
Balance before adjusting for amortized interest (Note 29.3)	2,593,374,234	3,736,488,798
Net effect on amortized interest payable (Note 29.3)	13,257,861	36,967,193
Balance at the end of the year	2,606,632,095	3,773,455,991

29.2 Interest bearing borrowings - Current and non-current

Payable within one year	1,406,372,649	2,229,231,943
Payable after one year (1-5 years)	1,200,259,446	1,645,627,308
	2,606,632,095	3,874,859,251

29.3 Institutional borrowings

Bank	Facility amount Rs.	Capital outstanding as at 31.03.2023 Rs.	Finance cost payable as at 31.03.2023 Rs.	Total payable at amortized cost as at 31.03.2023 Rs.	Tenure of loan (months)
Long-term loans					
Union Bank PLC	825,000,000	415,538,012	278,918	415,816,930	48
Sampath Bank PLC	500,000,000	333,280,000	1,309,380	334,589,380	48
Hatton National Bank PLC	500,000,000	374,000,000	239,770	374,239,770	48
Sanasa Development Bank	50,000,000	11,399,374	96,283	11,495,657	24
Bank of Ceylon	700,000,000	438,999,980	5,705,499	444,705,479	24
Cargills Bank PLC	650,000,000	120,156,860	624,889	120,781,749	36
National Development Bank PLC	400,000,000	400,000,000	542,247	400,542,247	36
Short-term loans - Revolving					
Sampath Bank PLC	100,000,000	100,000,000	418,356	100,418,356	Revolving Loan
Union Bank PLC	200,000,000	200,000,000	1,641,253	201,641,253	Revolving Loan
Pan Asia Banking Corporation PLC	200,000,000	200,000,000	2,401,274	202,401,274	Revolving Loan
		2,593,374,234	13,257,869	2,606,632,095	

As at 31st March	2023 Rs.	2022 Rs.
30. LEASE LIABILITY-RIGHT-OF-USE-ASSETS		
Balance at the beginning of the year	76,660,167	104,375,186
During the year additions	22,172,486	22,305,237
Interest charged for the year	26,489,557	23,654,411
Payment made during the year	(79,099,385)	(73,674,667)
	<u>46,222,825</u>	<u>76,660,167</u>
Payable within one year	19,470,092	45,032,960
Payable after one year	26,752,733	31,627,207
	<u>46,222,825</u>	<u>76,660,167</u>
31. OTHER LAIBILITIES		
Vendor payable	227,986,015	162,372,315
Insurance payable	30,813,095	45,518,469
Accrued expenses and other payables	199,558,670	287,012,614
Real estate advances	23,860,854	20,004,854
	<u>482,218,634</u>	<u>514,908,252</u>
32. RETIREMENT BENEFITS OBLIGATION		
Balance at the beginning of the year	44,103,980	39,804,738
Amount recognized in the total comprehensive income (Note 32.1)	12,833,356	5,978,915
Payments during the year	(4,488,584)	(1,679,673)
Balance at the end of the year	<u>52,448,752</u>	<u>44,103,980</u>
32.1 The amount recognised in the total comprehensive income is as follows:		
Interest cost	6,615,597	2,786,332
Current service cost	7,739,639	6,395,727
Actuarial gain recognized	(1,521,880)	(3,203,144)
	<u>12,833,356</u>	<u>5,978,915</u>

- 32.2** An actuarial valuation of the retirement benefits obligation was carried out as at 31st March 2023 by Actuarial and Management Consultants (Pvt) Ltd. The company has estimated its gratuity liability as at 31st March 2023 based on the forecast given by the actuary using the census and assumptions as at 31st March 2023.

The principal assumptions used were as follows:

	2023	2022
Discount rate	15.00%	15.00%
Future salary increases	10%	10%
Staff turnover factor	20%	25%
Retirement age	60 years	55 years

32. RETIREMENT BENEFITS OBLIGATION (CONTD....)

32.3 Sensitivity of assumptions employed in actuarial valuation

The following table demonstrates the sensitivity to a reasonably possible change in the key assumptions employed with all other variables held constant in the employment benefit liability measurement.

The sensitivity of the income statement and the statement of financial position is the effect of the assumed changes in discount rate and salary increment rate on the profit or loss and employment benefit obligation for the year.

Increase/decrease in discount rate	Increase/decrease in salary increment	2022/2023	2021/2022
		Sensitivity effect on income statement increase/(reduction) in results for the year	Sensitivity effect on income statement increase/(reduction) in results for the year
		Rs.	Rs.
1%	-	(1,803,528)	(1,236,124)
-1%	-	1,940,713	1,315,963
-	1%	2,202,413	1,523,253
-	-1%	(2,075,398)	(1,451,686)

33. STATED CAPITAL

Ordinary shares (Note 33.1)

2,431,879,039	2,431,879,039
<u>2,431,879,039</u>	<u>2,431,879,039</u>

No. of shares (Note 33.2)

211,091,155	211,091,155
<u>211,091,155</u>	<u>211,091,155</u>

33.1 The holders of ordinary shares are entitled to receive dividends as declared from time to time, and are entitled to one vote per share at meetings of the company.

33.2 All ordinary shares rank equally with regard to the company's residual assets.

34. STATUTORY RESERVE FUND

At the beginning of the year

375,736,747	330,437,030
-------------	-------------

Transfer during the year

-	45,299,717
---	------------

At the end of the year

<u>375,736,747</u>	<u>375,736,747</u>
--------------------	--------------------

34.1 Statutory reserve fund is a capital reserve which contains profits transferred as required by Section 3 (b) (i) of Finance Companies Capital Funds Direction No. 01 of 2003 issued by the Central Bank of Sri Lanka.

35. REVALUATION RESERVE

At the beginning of the year

141,120,773	141,120,773
-------------	-------------

At the end of the year

<u>141,120,773</u>	<u>141,120,773</u>
--------------------	--------------------

36. FINANCIAL REPORTING BY SEGMENTS

Business Segments

The company has five reportable segments, as described below, which are the company's strategic divisions. The strategic divisions offer different products and services, which are managed separately because they require different technology and marketing strategies. For each of the strategic divisions, the company's management reviews internal management reports at least on a monthly basis. The following summary describes the operations in each of the company's reportable segments.

- a) Hire purchase, finance leasing- Provision of hire purchase and leasing facilities to customers
- b) Loans - Provision of loan facilities to customers
- c) Factoring - Debt factoring
- d) Pawning - Provision of loans against gold
- e) Others

	Finance leases, Hire purchases		Loans		Factoring		Pawning		Others		Total	
	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022	2023	2022
For the year ended 31 March	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Interest income	1,965,896,488	1,946,542,127	142,672,558	151,428,161	4,315,133	3,927,145	1,261,763,310	538,264,885	218,411,364	69,006,865	3,593,058,853	2,709,169,183
Fee and commission income	80,216,588	64,879,926	2,307,586	-	717,197	2,062,165	-	-	22,650,601	35,162,583	105,891,972	102,104,674
Other income	32,283,325	81,498,103	12,135,320	-	-	-	-	-	76,857,923	79,436,897	121,276,568	160,935,000
Total segmental income	2,078,396,401	2,092,920,156	157,115,464	151,428,161	5,032,330	5,989,310	1,261,763,310	538,264,885	317,919,888	183,606,345	3,820,227,393	2,972,208,857
Less: Interest expense	(1,414,543,442)	(816,453,959)	(106,931,791)	(59,072,546)	(3,424,972)	(2,336,446)	(858,748,126)	(209,978,625)	(216,374,264)	(71,625,345)	(2,600,022,595)	(1,159,466,921)
Segmental results	663,852,959	1,276,466,197	50,183,673	92,355,615	1,607,358	3,652,864	403,015,184	328,286,260	101,545,624	111,981,000	1,220,204,798	1,812,741,936
Depreciation and amortization	(64,124,662)	(57,201,156)	(4,847,476)	(4,138,651)	(155,262)	(163,692)	(38,929,142)	(14,711,203)	(9,808,767)	(5,018,106)	(117,865,289)	(81,232,809)
Impairment charge	68,333,923	(57,045,226)	30,613,293	(69,824,350)	6,331,059	(7,775,165)	(3,840,979)	11,268,881	1,586,496	(1,163,965)	(103,023,791)	(124,539,825)
Other expenses	(556,166,512)	(707,126,008)	(42,043,164)	(51,162,387)	(1,346,622)	(2,023,582)	(337,640,356)	(181,861,261)	(85,073,471)	(62,034,293)	(1,022,270,124)	(1,004,207,532)
Value Added Tax and NBT on financial services	(26,708,092)	(105,458,725)	(2,018,987)	(7,630,210)	(64,667)	(301,791)	(16,214,083)	(27,122,262)	(4,085,377)	(9,251,615)	(49,091,206)	(149,764,604)
Profit after tax	85,187,615	349,635,082	31,887,339	(40,399,983)	6,371,866	(6,611,366)	6,390,624	115,860,415	4,164,505	34,513,021	(72,045,612)	452,997,166
Segmental assets	7,857,567,100	10,191,880,202	605,754,288	1,180,388,254	31,621,321	111,235,136	4,483,270,142	3,582,516,137	4,490,660,436	2,661,225,910	17,468,873,287	17,727,245,639
Segmental liabilities	6,381,757,774	8,276,291,299	491,981,435	958,531,384	25,682,200	90,328,219	3,641,221,732	2,909,173,435	3,647,223,980	2,161,041,967	14,187,867,121	14,395,366,304

As at 31 March 2023

37. MATURITY ANALYSIS OF ASSETS AND LIABILITIES

	Less than 3 months Rs	3-12 months Rs	1-3 years Rs	3-5 years Rs	Over 5 years Rs	Total	
						2023 Rs	2022 Rs
ASSETS							
Cash and cash equivalents	307,893,891	-	-	-	-	307,893,891	296,439,735
Financial assets at fair value through other comprehensive income	1,262,913,731	-	-	-	-	1,262,913,731	725,704,749
Loans and receivables to customers	6,039,390,724	1,973,978,587	3,412,482,574	1,474,066,871	41,092,495	12,941,011,251	14,126,271,967
Investments with banks and other financial institutions	56,414,063	179,599,247	-	-	-	236,013,310	242,460,738
Other assets	24,143,532	533,447,994	-	99,849,272	-	657,440,798	255,411,953
Real estate stock	-	10,656,618	-	-	-	10,656,618	9,338,093
Deferred tax asset	-	-	369,577,434	-	-	369,577,434	371,600,809
Brand value	-	-	-	-	235,880,000	235,880,000	235,880,000
Goodwill	-	-	-	-	564,545,746	564,545,746	564,545,746
Intangible assets	-	-	-	-	25,097,945	25,097,945	37,899,935
	-	-	96,792,682	70,733,416	-	167,526,098	200,001,880
Property, plant and equipment and right-of-use of assets							
Investment properties	-	-	-	-	690,316,465	690,316,465	662,150,002
Total assets	7,690,755,941	2,697,682,446	3,878,852,690	1,644,649,559	1,556,932,651	17,468,873,287	17,727,705,607
LIABILITIES							
Bank overdrafts	240,846,238	-	-	-	-	240,846,238	680,571,641
Deposits from customers	4,170,298,468	5,010,161,144	608,334,294	970,704,671	-	10,759,498,577	9,204,263,013
Interest bearing borrowings	687,789,507	719,292,759	1,028,659,427	170,890,402	-	2,606,632,095	3,874,859,251
Lease Liability - Right-of- use assets	5,531,198	13,938,894	25,339,391	1,413,342	-	46,222,825	76,660,167
Other liabilities	458,357,780	23,860,854	-	-	-	482,218,634	514,908,252
Retirement benefits obligation	-	-	-	-	52,448,752	52,448,752	44,103,980
	5,562,823,191	5,767,253,651	1,662,333,112	1,143,008,415	52,448,752	14,187,867,121	14,395,366,304
Maturity Gap	2,127,932,750	(3,069,571,205)	2,216,519,578	501,641,144	1,504,483,899		

38. RELATED PARTY TRANSACTIONS

The company carries out transactions in the ordinary course of business with parties who are defined as related parties according to Sri Lanka Accounting Standard, LKAS 24 "Related Party Disclosures" and the details are reported below.

38.1 Parent and ultimate controlling party

The parent and ultimate controlling party of the company is Janashakthi Limited.

38.2 Transactions with key management personnel

According to LKAS 24, "Related Party Disclosures", key management personnel are those having the authority and responsibility for planning, directing and controlling the activities of the entity. Accordingly, the Board of directors (including executives and non-executive directors) and their immediate family members have been classified as key management personnel of the company.

The company has paid Rs. 9,672,400/- (2021/2022 -Rs. 7,500,000/-) to the directors as emoluments, of which all comprise short-term employment benefits and no post-employment benefits have been paid during the year (2021/2022 - Nil). There are no direct transactions, arrangements and agreements involving key management personnel of the company other than those disclosed in other related party transactions.

The company accepts and holds fixed deposits from key management personnel and their relatives in the normal course of its business and the amount outstanding on such deposits as at 31st March 2023 is Rs.49,875,236/- (2021/2022- Rs.30,000,000/-).

38.3 Other related party transactions

The following transactions have been carried out with related parties during the year ended 31st March 2023.

38.3.1 Recurrent related party transactions			Aggregate value of related party transactions entered into during the financial year 2023	Aggregate value of related party transactions as a % of gross revenue/income	Terms and conditions of the related party transactions
Company	Relationship	Nature of transactions	Rs.		
Janashakthi Insurance PLC	Affiliate	Insurance policies for staff	(21,287,246)	-1.91%	As per the insurance policies
		Insurance policies for customers	(9,152,800)	-0.82%	As per the insurance policies
		Rent and electricity bills of Trinco and Kilinochchi branches	(3,335,223)	-0.30%	As per the rent agreements
		Rent income received	1,832,129	0.16%	As per the agreements
Janashakthi Corporate Services Limited	Affiliate	Payment for secretarial work	(714,000)	-0.02%	As per the agreements
KHL Corporate Services Limited	Affiliate	Payment for secretarial work	(170,000)	-0.02%	As per the agreements
First Capital Holding PLC	Affiliate	Reimbursement of diesel cost of generators	(545,897)	-0.05%	As per the agreements
Janashakthi Limited	Parent	Corporate guarantee fee/payment for HR system	(1,326,193)	-0.12%	As per the agreements

39. CAPITAL COMMITMENTS

The company does not have material capital commitments outstanding as at the reporting date.

40. CONTINGENT LIABILITIES

The company does not anticipate any contingent liabilities to arise out of any contingent events as at the reporting date except as disclosed below:

The Inland Revenue Department has issued assessments for Value Added Tax on Financial Services, Nation Building Tax on Financial Services and Value Added Tax amounting to Rs. 148,885,573/- (including penalties of Rs. 83,635,837/-) and the Board of Directors is confident that there will not be any additional tax liability on that.

41. ASSETS PLEDGED AS SECURITIES

The following assets have been pledged as securities against the long-term and short-term borrowings that have been disclosed under note No.29 to the financial statements.

Funding Institution	Nature of assets	Nature of liability	Balance outstanding as at 31st March 2023	Value of assets pledged (Rs.)	Included under
Bank of Ceylon	Lease Receivable	POD	41,073,638	66,500,000	Future Rental Receivable
Cargills Bank PLC	Lien over Savings Account Balance	POD	687,646	50,000,000	Lien over Savings A/C Balance
Commercial Bank of Ceylon PLC	Lease Receivable	POD	70,574,294	253,500,000	Future Rental Receivable
DFCC Bank PLC	Lease Receivable	POD	854,615	97,500,000	Future Rental Receivable
Hatton National Bank PLC	Lease Receivable	POD	46,946,848	65,000,000	Future Rental Receivable
National Development Bank PLC	Lease Receivable	POD	2,865,727	37,500,000	Future Rental Receivable
People's Bank	Lease Receivable	POD	1,657,550	93,750,000	Future Rental Receivable
Sampath Bank PLC	Lease Receivable	POD	72,631,900	112,500,000	Future Rental Receivable
Seylan Bank PLC	Lease Receivable	POD	3,554,020	97,750,000	Future Rental Receivable
Union Bank of Colombo PLC	Lease Receivable	POD	-	31,250,000	Future Lease Receivable
Cargills Bank PLC	Lease Receivable	Short Term Revolving	22,934,628	32,639,998	Future Rental Receivable
Pan Asia Banking Corporation PLC	Lease Receivable	Short Term Revolving	200,000,000	250,000,000	Future Rental Receivable
Sampath Bank PLC	Lease Receivable	Short Term Revolving	100,000,000	150,000,000	Future Rental Receivable
Union Bank of Colombo PLC	Lease Receivable	Money Market Loan	200,000,000	250,000,000	Future Rental Receivable
Bank of Ceylon	Lease Receivable	Term Loan	438,999,980	583,869,973	Future Rental Receivable
Cargills Bank PLC	Lease Receivable	Term Loan	97,222,232	131,250,013	Future Rental Receivable
Hatton National Bank PLC	Lease Receivable	Term Loan	374,000,000	486,200,000	Future Rental Receivable
National Development Bank PLC	Lease Receivable	Term Loan	400,000,000	600,000,000	Future Rental Receivable
Sampath Bank PLC	Lease Receivable	Term Loan	333,280,000	499,920,000	Future Rental Receivable
Sanasa Development Bank	Lease Receivable	Term Loan	11,399,374	-	Future Rental Receivable
Union Bank of Colombo PLC	Lease Receivable	Term Loan	415,538,012	519,422,515	Future Rental Receivable

41. ASSETS PLEDGED AS SECURITIES (CONTD...)

41.1 In the ordinary course of business, the company entered into transactions that resulted in the transfer of financial assets to third parties. The information above sets out the extent of such transfers and retained interest in transferred assets.

41.2 The company has transferred future rental receivable of lease and hire purchases, but has retained substantially all of the credit risks associated with the transferred assets. Due to the retention of substantially all the risk and rewards on these assets, the company continues to recognize these assets within lease rental receivable and stock out on hire.

42. EVENTS OCCURRING AFTER THE BALANCE SHEET DATE

No circumstances have arisen since the end of the reporting date, which would require adjustment to, or disclosures in, the financial statements.

43. PENALTIES IMPOSED BY THE CENTRAL BANK OF SRI LANKA

The company will not be subject to any penalties imposed by Central Bank of Sri Lanka for the period.

44. COMPARATIVE INFORMATION

Comparative information of the financial statements has been reclassified wherever necessary to conform to the current year's presentation/classification.

45. DIRECTORS' RESPONSIBILITY

The Board of Directors is responsible for the preparation and presentation of these financial statements.

46. NUMBER OF EMPLOYEES OF THE COMPANY AS AT THE YEAR END

The number of employees of the company as at 31st March 2023 is 487 (2022-495).

47. DETERMINATION OF FAIR VALUE AND FAIR VALUE HIERARCHY

For all financial instruments where fair values are determined by referring to externally quoted prices or observable pricing inputs to models, independent price determination or validation is obtained. In an inactive market, direct observation of a traded price may not be possible. In these circumstances, the company uses alternative market information to validate the financial instrument's fair value, with greater weight given to information that is considered to be more relevant and reliable.

Fair values are determined according to the following hierarchy:-

Level 1:- Quoted market price (unadjusted) in an active market for an identical instrument.

Level 2:- Valuation techniques based on observable inputs, either directly (i.e. as prices) or indirectly (i.e. derived from prices). This category includes instruments valued using: quoted market prices in active markets for similar instruments; quoted prices for identical or similar instruments in markets that are considered less than active; or other valuation techniques where all significant inputs are directly or indirectly observable from market data.

Level 3:- Valuation techniques using significant unobservable inputs. This category includes all instruments where the valuation technique includes inputs not based on observable data and the unobservable inputs have a significant effect on the instrument's valuation.

The following table shows an analysis of financial instruments recorded at fair value by the level of the fair value hierarchy.

	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Financial assets - fair value through other comprehensive income				
Government securities	1,251,863,131	-	-	1,251,863,131
Investments in unquoted shares	-	230,600	-	230,600
Investments in quoted shares	10,820,000	-	-	10,820,000
	<u>1,262,683,131</u>	<u>230,600</u>	<u>-</u>	<u>1,262,913,731</u>

48. FAIR VALUE OF FINANCIAL INSTRUMENTS CARRIED AT AMORTIZED COST

The following table summarizes the carrying amounts and the company's estimate of fair values of those financial assets and liabilities not presented in the company's statement of financial position at fair value. Fair value is the amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction. The fair values in the table below may be different from the actual amounts that will be received/ paid on the settlement or maturity of the financial instrument. For certain instruments, the fair value may be determined using assumptions which are not observable in the market.

As at 31 March	2023		2022	
	Carrying Value (Rs.)	Fair Value (Rs.)	Carrying Value (Rs.)	Fair Value (Rs.)
ASSETS				
Cash and cash equivalents	307,893,891	307,893,891	296,439,735	296,439,735
Loans and receivables to customers	12,941,011,251	12,941,011,251	14,125,811,999	14,125,811,999
Investments with banks and other financial institutions	236,013,310	236,013,310	242,460,738	242,460,738
	<u>13,484,918,452</u>	<u>13,484,918,452</u>	<u>14,664,712,472</u>	<u>14,664,712,472</u>
LIABILITIES				
Bank overdrafts	240,846,238	240,846,238	680,571,641	680,571,641
Deposits from customers	10,759,498,577	10,759,498,577	9,204,263,013	9,204,263,013
Interest bearing borrowings	2,606,632,095	2,606,632,095	3,874,859,251	3,874,859,251
	<u>13,606,976,910</u>	<u>13,606,976,910</u>	<u>13,759,693,905</u>	<u>13,759,693,905</u>

Given below are the methodologies and assumptions used in fair value estimates.

Cash and cash equivalents

The carrying amounts of cash and cash equivalents, approximate their fair value as they are short-term in nature and are receivable on demand.

Investments with banks and other financial institutions

The carrying amounts of fixed deposits with banks and other reverse repurchase agreements, approximate their fair value as those are short-term in nature. Almost all of these balances have a remaining maturity of less than six months from the reporting date.

Loans and receivables to customers

Fair value of the loans and receivables to customers is the present value of future cash flows expected to be received from such loans and receivables calculated based on interest rates at the reporting date for similar types of loans and receivables. The company calculated the fair value of the loans and receivables to customers based on interest rates at the reporting date for similar types of loans and receivables. Accordingly, fair value of such loans does not materially differ from its carrying value amounting to Rs. 12,941,011,250/-.

Bank overdrafts

The carrying amounts of bank overdrafts, approximate their fair value as those are short term in nature.

Deposits from customers

More than 78% of the customer deposits have a remaining contractual maturity of less than one year. Customer deposits with a contractual maturity of more than one year are subject to pre-mature uplift. Amounts paid to customers in the event of pre-mature uplift would not be materially different to its carrying value as at the reporting date. Therefore, fair value of customer deposits approximates their carrying value as at the reporting date.

Interest bearing borrowings

Interest bearing borrowings include only floating rate borrowings. The carrying value of the floating rate borrowings approximates their fair values as at the reporting date.

49. FINANCIAL RISK MANAGEMENT

Risk is the most important factor considered in the strategic decision making process at Orient Finance PLC. Therefore, all possible risks are properly evaluated before taking any strategic or operational decision and the best options which minimize the risk are chosen. Risk management framework of the company is discussed in detail in this report. The major categories of financial risks are:

- 1 Credit risk
- 2 Liquidity risk
- 3 Operational risk
- 4 Market Risk

49.1 Credit risk

Credit risk is the risk of financial loss to the company if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the company's loans and advances to customers. For risk management reporting purposes, the company considers and consolidates all elements of credit risk exposures (such as individual obligor default risk, country and sector risk).

Management of credit risk

The Board of Directors has delegated responsibility for the oversight of credit risk to its company's credit committee. The company's credit department, reporting to the company's credit committee, is responsible for management of the company's credit risk, including:

- I Formulating credit policies in consultation with business units, covering collateral requirements, credit assessment, risk grading and reporting, documentary and legal procedures and compliance with regulatory and statutory requirement.
- II Establishing the authorization structure for the approval and renewal of credit facilities. Authorization limits are allocated to business unit credit officers. Larger facilities require approval by the company's credit committee or the Board of Directors as appropriate
- III Reviewing and assessing credit risk - the company's credit division assesses all credit exposures in excess of designated limits, prior to facilities being committed to customers by the business unit concerned. Renewals and reviews of facilities are subject to the same review process
- IV Limiting concentrations of exposure to counterparties, geographies and industries
- V Providing advice, guidance and specialized skills to business units to promote best practices throughout the company in the management of credit risk
- VI The Company conducted an indept analysis on the probable customers who would get affected and the scale of impact it may have on the company's lending portfolio due to the prevailing macroeconomic uncertainty and the related impacts to our customer's on account of elevated inflation and interest rates. The company manages this by diversifying the lending portfolio across a wide range of product and customer segments which in turn would ensure the resiliense of the company in an economic shock of this nature. The company is comforable with the existing composition of its loan portfolio and continuous monitoring activities are being carried out to avoid accumulation of exposures to risky segments.

Regular audit of business units and the company's credit processes are evaluated by internal audit.

As at 31 March

Loans and advance to customers

	2023 Rs	2022 Rs
Carrying amount at amortized cost		
Individually significant impaired loans and advances (Note 49.1.1)	3,014,021,488	3,142,569,589
Unimpaired loans and advances (Note 49.1.2)	10,966,509,940	11,213,499,828
	<u>13,980,531,428</u>	<u>14,356,069,417</u>

As at 31 March	2023 Rs	2022 Rs
49. FINANCIAL RISK MANAGEMENT (CONTD...)		
49.1.1 Individually significant impaired loans and advances		
Gross receivable	3,014,021,488	3,382,251,486
Allowance for impairment	(697,035,020)	(469,939,315)
Individually significant impaired loans and advances	<u>2,316,986,468</u>	<u>2,912,312,171</u>
49.1.2 Unimpaired loans and advances		
Gross receivable	10,966,509,940	11,680,056,899
Allowance for collective impairment	(342,485,157)	(466,557,071)
Carrying amount of unimpaired loan advances	<u>10,624,024,783</u>	<u>11,213,499,828</u>

Write-off policy

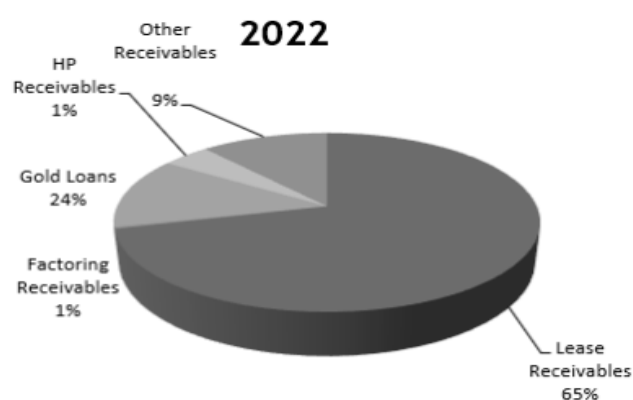
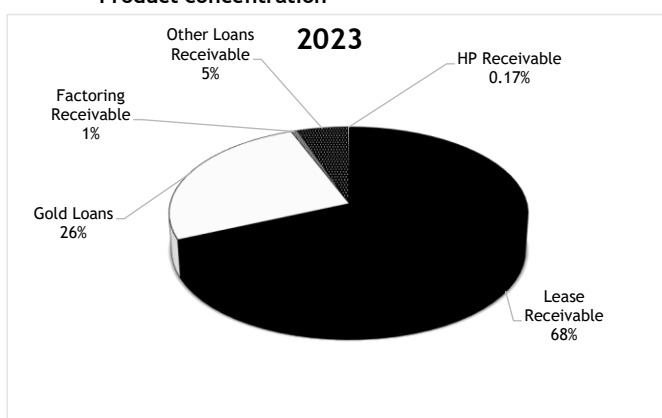
The company writes off a loan or an investment debt security balance, and any related allowances for impairment losses, when the company's recovery division determines that the loan or security is uncollectible. This determination is made after considering the information such as the occurrence of significant changes in the borrower's/issuer's financial position so that the borrower/issuer can no longer pay the obligation, or that the proceeds from collateral will not be sufficient to pay back the entire exposure. For smaller balance standardized loans, write-off decisions generally are based on a product-specific past due status.

Concentration of credit risk

The company monitors concentrations of credit risk by sector and by geographic location.

An analysis of concentrations of credit risk from loans and advances and investment securities at the reporting date is shown below:

Product concentration



49. FINANCIAL RISK MANAGEMENT (CONTD...)

49.1.3 Collateral and Other Credit Enhancement

The table below provides an analysis of the current fair values of collateral held and credit enhancements for stage 1 to 3 assets. However, the Stage 3 ECL can be higher than net exposure shown below when the future value of collateral, measured using multiple economic scenarios, is expected to decline.

Revaluation of immovable properties obtained as collaterals against any accommodation granted are assessed based on the requirements in Direction No 04 of 2018 on 'Valuation of Immovable Properties' and subsequent amendments thereto issued by the Central Bank of Sri Lanka (CBSL). The assessment of immovable properties is carried out by independent professional valuers as required by the said direction issued by CBSL.

As at March 2023

	Maximum Exposure to Credit risk Rs.	Fair Value of Collateral under base case scenario			Net Exposure Rs.	Associated ECL Rs.
		Immovable Collateral Rs.	Movable Collateral Rs.	Total Collateral Rs.		
Stage 01	10,505,453,741	76,125,000	820,000	76,945,000	10,428,508,741	163,146,941
Stage 02	2,052,707,977	113,825,000	15,720,000	129,545,000	1,923,162,977	201,704,099
Stage 03	1,422,369,711	178,247,000	55,780,000	234,027,000	1,188,342,711	674,669,137
	13,980,531,429	368,197,000	72,320,000	440,517,000	13,540,014,429	1,039,520,177

As at March 2022

	Maximum Exposure to Credit risk Rs.	Fair Value of Collateral under base case Scenario			Net Exposure Rs.	Associated ECL Rs.
		Immovable Collateral Rs.	Movable Collateral Rs.	Total Collateral Rs.		
Stage 01	6,942,274,198	-	-	-	6,942,274,198	227,858,576
Stage 02	1,345,948,289	-	-	-	1,345,948,289	195,107,722
Stage 03	6,774,085,897	516,092,252	1,352,478,000	1,868,570,252	4,905,515,645	513,530,088
	15,062,308,384	516,092,252	1,352,478,000	1,868,570,252	13,193,738,132	936,496,386

49.2 Liquidity risk

Liquidity risk is the risk that the company will encounter difficulty in meeting obligations associated with its financial liabilities that are settled by delivering cash or another financial asset.

Management of liquidity risk

The company's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the company's reputation.

The company treasury receives information from other business units regarding the liquidity profile of their financial assets and liabilities and details of other projected cash flows arising from projected future business. The treasury then maintains a portfolio of short-term liquid assets, largely made up of short-term liquid investment securities to ensure that sufficient liquidity is maintained within the company as a whole.

49. FINANCIAL RISK MANAGEMENT (CONTD...)

49.2 Liquidity risk (Contd...)

Management of liquidity risk (Contd...)

The daily liquidity position is monitored and regular liquidity stress testing conducted under a variety of scenarios covering both the normal and more severe market conditions. All liquidity policies and procedures are subject to review and approval by ALCO. Daily reports cover the liquidity position of the company and branches. A summary report, including any exceptions and remedial action taken, is submitted regularly to ALCO which in turn submits a monthly summary to the Board.

The company relies on deposits from customers and bank borrowings as its primary sources of funding. While the company's debt securities and subordinated liabilities have maturities of over one year, deposits from customers generally have shorter maturities and a large proportion of them are repayable on demand. The short-term nature of these deposits increases the company's liquidity risk and the company actively manages this risk through maintaining competitive pricing and constant monitoring of market trends and maintaining unutilized credit lines.

Exposure to liquidity risk

The key measure used by the company for managing liquidity risk is the ratio of net liquid assets to deposits from customers. For this purpose, net liquid assets are considered as including cash and cash equivalents and investment grade debt securities for which there is an active and liquid market less any deposits from banks, debt securities issued, other borrowings and commitments maturing within the following month. A similar, but not identical, calculation is used to measure the company's compliance with the liquidity limit established by the company's lead regulator, CBSL. Details of the reported company ratio of net liquid assets to deposits from customers at the reporting date and during the year were as follows:

As at 31 March	2023 (Rs.)	2022 (Rs.)
Time deposits	10,700,736,645	9,150,223,285
Savings deposits	58,761,932	54,039,728
Unsecured borrowings	-	169,948,000
Available liquid assets	1,795,770,332	1,214,833,366
Cash in hand	222,627,839	230,339,894
Balances in current accounts (favourable)	85,266,052	66,099,841
Deposits in commercial banks	236,013,310	242,460,738
Approved securities	1,251,863,131	675,932,893
Average month-end deposit liabilities	8,854,195,051	8,764,188,000
Average month-end outstanding borrowings	68,750,000	20,930,000
	8,922,945,051	8,785,118,000
Required minimum amount of liquid assets	1,078,887,954	940,123,088
10% of fixed deposits	1,070,073,665	915,022,329
15% of savings deposits	8,814,290	8,105,959
10% of unsecured borrowings	-	16,994,800
Required minimum amount of approved securities	66,922,087	658,883,850
Period 01/04/2022 to 31/03/2023, fixed deposit 7.5%, borrowing 7.5% and savings deposit 7.5%		

49. FINANCIAL RISK MANAGEMENT (CONTD...)

Management of liquidity risk (Contd...)

Maturity analysis for financial liabilities

Contractual maturity of the assets and the liabilities of the company is disclosed in note 37 to the financial statements.

To manage the liquidity risk arising from financial liabilities, the company holds liquid assets comprising cash and cash equivalents and investment grade investment securities for which there is an active and liquid market. These assets can be readily sold to meet liquidity requirements.

49.3 Operational risks

Operational risk is the risk of direct or indirect loss arising from a wide variety of causes associated with the company's involvement with financial instruments, including processes, personnel, technology and infrastructure, and from external factors other than credit, market and liquidity risks such as those arising from legal and regulatory requirements and generally accepted standards of corporate behaviour. The company's objective is to manage operational risk so as to balance the avoidance of financial losses and damage to the company's reputation with overall cost effectiveness and to avoid control procedures that restrict initiative and creativity.

Compliance with company standards is periodically reviewed by internal audit. The results of internal audit reviews are discussed with the management of the business unit to which they relate, with summaries submitted to the audit committee and senior management of the company.

Capital Management

The company manages its capital base to comply with regulatory capital requirements and to maintain a solid fund base.

CBSL has set minimum capital requirements for the finance companies as discussed below:

Tier 1 Capital, which includes stated capital, perpetual bonds (which are classified as innovative tier 1 securities), retained earnings, translation reserve and non-controlling interests after deductions for goodwill and intangible assets, and other regulatory adjustments relating to items that are included in equity but are treated differently for capital adequacy purposes; and

Tier 2 Capital, which includes qualifying subordinated liabilities, collective impairment allowances and the element of the fair value reserve relating to unrealized gains/losses on equity instruments measured at fair value through other comprehensive income.

According to these regulations, the minimum capital requirement under Tier 1 Capital Adequacy Ratio is 8.50% of the total risk weighted assets and Total Capital Adequacy Ratio is 12.50% of the total risk weighted assets.

The company's Capital Adequacy Ratios as at 31 March 2023 were 16.58% (2022 - 14.38%) and 15.50% (2022 - 15.38%) for Tier 1 Capital and Total Capital respectively.

49.4 Market Risk

Market risk is the risk arising from fluctuations in market variables such as interest rates, foreign currencies, equity prices and gold prices. As the company's operations involve granting accommodations, accepting deposits and obtaining funding facilities, the movements in interest rates constitute the most important market risk to the company.

This risk is reviewed periodically by ALCO and by the Integrated Risk Management Committee.

49. FINANCIAL RISK MANAGEMENT (CONTD...)

49.4 Market risk (contd....)

Market risk is identified by the company as the possibility of loss to the company caused by changes in the market variables. Market risk mainly includes interest rate risk, liquidity risk, foreign exchange risk and country risk.

49.4.1 Interest rate risk

Interest rate risk is the potential negative impact on the net interest income based on rate fluctuations and impact on the profitability of the company. The movements in interest rates are exposed to fluctuations in Net Interest Income (NII) and have the potential to impact the underlying value of interest earning assets and interest-bearing liabilities and off-balance sheet items. The main types of IRR to which the company is exposed to are repricing risk, yield curve risk and basis risk. The company does not have variable interest rates and all facilities granted are on fixed interest rates. The global outbreak of the COVID-19 pandemic has resulted in consecutive reductions in policy rates and monetary easing policies by the Central Bank of Sri Lanka to encourage banks and finance companies to reduce the lending rates.

When all borrowings and lending are done on fixed rates the net interest margin is affected due to the following reasons:

Maturity mismatch/GAP

One of the major concerns in financial business is the maturity mismatch, where the average loan period is over 2 years whilst the average deposit period is less than one year. Hence, where the interests are on an increasing trend the company's net interest margin will reduce.

Please refer note 37 to the financial statements for the maturity analysis.

Re-Investment risk

These are uncertainties with regard to the interest rate at which the future cash flows could be re-invested. On an increasing trend, this would be beneficial for the company.

Net interest position

When the market rates are on a downward trend and the company's earning assets are higher than its liabilities, the risk of net interest position falling is high.

49.4.2 Liquidity risk

Liquidity is the ability to efficiently accommodate deposits as reduction in liabilities as well and to fund the loan growth and possible funding of the off-balance sheet claims. Liquidity risk arises through maturity mismatch of loans and deposits.

The company considered that cash flow scrutiny is paramount and has adopted a disciplined approach across the units including setting up of company-wide spend control and cash management measures for preserving and increasing liquidity, particularly on account of the impact of prevailing macroeconomic uncertainty.

49.4.3 Foreign exchange (FOREX) and country risk

FOREX is the risk that finance companies may suffer loss as a result of adverse exchange rate movements. Country risk is the risk that arises due to cross border transactions. The uncertainty caused by the prevailing economic crisis could lead to increased pressure on the local currency resulting in higher foreign exchange risk. However, since Orient Finance PLC does not have any foreign borrowings or foreign transactions overseas except for Zoom Video Communications licensing fee and payment to Refinitive - World Check One, the company concludes that negative impact on prevailing economic crisis will not be substantial on the company to conduct in-depth analysis. However, there is a slight impact when budgeting for this cost. The above risks are triggered by the treasury operations.